

The Mines And Minerals (Development And Regulation) Act, 1957

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Union of India - Act

The Mines And Minerals (Development And Regulation) Act, 1957

UNION OF INDIA

India

The Mines And Minerals (Development And Regulation) Act, 1957

MINISTRYOFLAWANDJUSTICE 67 of 1957

Published on 28 December 1957

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[Amended by

The Mines (Amendment) Act, 1983 (Act 42 of 1983)

on

25 December 1983

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[Amended by The Mines and Minerals (Development and Regulation) Amendment Act, 2010 (Act 34 of 2010) on

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26 March 2015

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[Amended by THE MINES AND MINERALS (DEVELOPMENT AND REGULATION) AMENDMENT ACT, 2021 (Act 16 of 2021) on

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on

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The Mines And Minerals (Development And Regulation) Act, 1957
(67 of 1957)

Last Updated 11th April, 2022

[Financial Express

gave an Understanding to

Mines and Minerals (Development and Regulation) Amendment Act, 2021.]

[Mondaq to

explain Noteworthy Changes to

The New Mines And Minerals (Development And Regulation) Amendment Act, 2021.]

.

[28th December, 1957]

An Act to provide for the [development and regulation of mines and minerals]

[Substituted by Act 38 of 1999, Section 2, for " regulation of mines and development of minerals" (w.e.f. 18.12.1999).] under the control of the Union.

Be it enacted by Parliament in the Eighth Year of the Republic of India as follows:-

The Act has been extended to the Union territories of -(1) Goa, Daman and Diu by Regulation 12 of 1962; Goa is now a State, see Act 18 of 1987, Section 3 (w.e.f. 30.5.1987); (2) Dadra and Nagar Haveli by Regulation 6 of 1963, and (3) Pondicherry by Regulation 7 of 1963. Enforced in State of Sikkim on 7.1.1980 vide G.S.R. 2(E), dated 5.1.1980.

Brought into force on 1.6.1958 vide G.S.R. 432, dated 29.5.1958, published in the Gazette of India, Extraordinary, Part II, Section 3(i), p. 225.

Chapter I

Preliminary

2.

Declaration as to the expediency of Union control. -

It is hereby declared that it is expedient in the public interest that the Union should take under its control the regulation of mines and the development of minerals to the extent hereinafter provided.

3.

Definitions. - In this Act, unless the context otherwise requires, -

(a)

["leased area" means the area specified in the mining lease within which mining operations can be undertaken and includes the non-mineralized area required and approved for the activities falling under the definition of mine as referred to in clause (i);

(a)

?composite licence? means the prospecting licence-cum-mining lease which is a two stage concession granted for the purpose of undertaking prospecting operations followed by mining operations in a seamless manner;

(aa)

"dispatch" means the removal of minerals or mineral products from the leased area and includes the consumption of minerals and mineral products

(aaa)

"exploration licence" means a licence granted for undertaking reconnaissance operations or prospecting operations or both in respect of minerals specified in the Seventh Schedule; [Inserted by act 16 of 2023]

(ab)

"Government company" shall have the same meaning as assigned to it in clause (45) of section 2 of the Companies Act, 2013;

(ac)

"leased area" means the area specified in the mining lease within which the mining operations can be undertaken and includes the non-mineralised area required and approved for the activities falling under the definition of "mine" as referred to in clause (i);

(ad)

"minerals" includes all minerals except mineral oils;

(ae)

"mineral concession" means either a reconnaissance permit, prospecting licence, mining lease, exploration licence or a combination of any of these and the expression "concession" shall be construed accordingly;

(b)

"mineral oils" includes natural gas and petroleum;

(c)

"mining lease" means a lease granted for the purpose of undertaking mining operations, and includes a sub-lease granted for such purpose;

(d)

"mining operations" means any operations undertaken for the purpose of winning any mineral;

(e)

"minor minerals" means building stones, gravel, ordinary clay, ordinary sand other than sand used for prescribed purposes, and any other mineral which the Central Government may, by notification in the Official Gazette, declare to be a minor mineral;

(ea)

["notified minerals" means any mineral specified in the Fourth Schedule;]

[Inserted by Act No. 10 of 2015.]

(f)

"prescribed" means prescribed by rules made under this Act;

(fa)

"production" or any derivative of the word "production" means the winning or raising of mineral within the leased area for the purpose of processing or dispatch;?

(g)

"prospecting license" means a license granted for the purpose of undertaking prospecting operations;

(h)

"prospecting operations" means any operations undertaken for the purpose of exploring, locating or proving mineral deposits; [*]

[The words " and" omitted by Act 38 of 1999, Section 4 (w.e.f. 18.12.1999).]

(ha)

"reconnaissance operations" means any operations undertaken for preliminary prospecting of a mineral through regional, aerial, geophysical or geochemical surveys and geological mapping, and include pitting, trenching, drilling and sub-surface excavation;

(hb)

"mineral concession" means a permit granted for the purpose of undertaking reconnaissance operations; [* * *]

(hba)

"Schedule" means the Schedules appended to the Act;?

(hc)

["Special Court" means a Court of Session designated as Special Court under sub-section (1) of section 30B; and]
[Inserted by Act No. 10 of 2015.]

(i)

the expressions, "mine" and "owner", have the meanings assigned to them in the ?the Occupational Safety, Health and Working Conditions Code, 2020.?

?Explanation.?For the purposes of this clause,?

(i)

a mine continues to be a mine till exhaustion of its mineable mineral reserve and a mine may have different owners during different times from the grant of first mining lease till exhaustion of such mineable mineral reserve;

(ii)

the expression "mineral reserve" means the economically mineable part of a measured and indicated mineral resource."

Chapter II

General Restrictions On Undertaking Prospecting And Mining Operations

4.

Prospecting or mining operations to be under license or lease. -

(1)

No person shall undertake any reconnaissance, prospecting or mining operations in any area, except under and in accordance with the terms and conditions of a mineral concession or of a or of a exploration licence or, as the case may be, of a mining lease, granted under this Act and the rules made thereunder:

Provided that nothing in this sub-section shall affect any prospecting or mining operations undertaken in any area in accordance with the terms and conditions of a prospecting license or mining lease granted before the commencement of this Act which is in force at such commencement:

[Provided further that nothing in this sub-section shall apply to any prospecting operations undertaken by the Geological Survey of India, the Indian Bureau of Mines,]

[Inserted by Act 37 of 1986, Section 2 (w.e.f. 10.2.1987).]

[the Atomic Minerals Directorate for Exploration and Research]

[Substituted by Act 38 of 1999, Section 5, for " the Atomic Minerals Division" (w.e.f. 18.12.1999).]

[of the Department of Atomic Energy of the Central Government, the Directorates of Mining and Geology of any State Government (by whatever name called), and the Mineral Exploration Corporation Limited, a Government company within the meaning of [clause (45) of section 2 of the Companies Act, 2013, and any other entities including private entities that may be notified for this purpose, subject to such conditions as may be specified by the Central Government?]

[Inserted by Act 37 of 1986, Section 2 (w.e.f. 10.2.1987).]

:]

[Provided also that nothing in this sub-section shall apply to any mining lease (whether called mining lease, mining concession or by any other name) in force immediately before the commencement of this Act in the Union territory of Goa, Daman and Diu.]

[Inserted by Act 16 of 1987, Section 14 (w.r.e.f. 1.10.1963).]

(1A)

No person shall transport or store or cause to be transported or stored any mineral otherwise than in accordance with the provisions of this Act and the rules made thereunder.]

[Inserted by Act 38 of 1999, Section 5 (w.e.f. 18.12.1999).]

(2)

[No mineral concession, prospecting license or mining lease]

[Substituted by Act 38 of 1999, Section 5, for " No prospecting license or mining lease" (w.e.f. 18.12.1999).]

shall be granted otherwise than in accordance with the provisions of this Act and the rules made thereunder.

(3)

[Any State Government may, after prior consultation with the Central Government and in accordance with the rules made under section 18,]

[Inserted by Act 37 of 1986, Section 2 (w.e.f. 10.2.1987).]

[undertake reconnaissance, prospecting or mining operations with respect to any mineral specified in the First Schedule in any area within that State which is not already held under any mineral concession, prospecting license or mining lease]

[Substituted by Act 38 of 1999, Section 5, for certain words (w.e.f. 18.12.1999).]

.

4A.

Termination of prospecting licences, exploration licences or mining leases.

(1)

Where the Central Government, after consultation with the State Government is of opinion that it is expedient in the interest of regulation of mines and mineral development, preservation of natural environment, control of floods, prevention of pollution, or to avoid danger to public health or communications or to ensure safety of buildings, monuments or other structures or for conservation of mineral resources or for maintaining safety in the mines or for such other purposes, as the Central Government may deem fit, it may request the State Government to make a premature termination of a prospecting license or mining lease in respect of any mineral other than a minor mineral in any area or part thereof, and, on receipt of such request, the State Government shall make an order making a premature termination of such prospecting licence or exploration licence or mining lease with respect to the area or any part thereof.

(2)

Where the State Government] [* * *]

[The words " , after consultation with the Central Government" omitted by Act 25 of 1994, Section 2 (w.r.e.f. 25.1.1994).]

[is of opinion that it is expedient in the interest of regulation of mines and mineral development, preservation of natural environment, control of floods, prevention of pollution or to avoid danger to public health or communications or to ensure safety of buildings, monuments or other structures or for such other purposes, as the State Government may deem fit, it may, by an order, in respect of any minor mineral, make premature termination of a prospecting license or mining lease with respect to the area or any part thereof covered by such license or lease.]

[Substituted by Act 37 of 1986, Section 3 (w.e.f. 10.2.1987). Earlier, it was inserted by Act 56 of 1972, Section 2 (w.e.f. 12.9.1972).]

[* * *]

[Proviso omitted by Act 38 of 1999, Section 6 (w.e.f. 18.12.1999).]

(3)

No order making a premature termination of a or exploration licence or mining lease shall be made except after giving the holder of the license or lease a reasonable opportunity of being heard.

(4)

Where the holder of a mining lease fails to undertake production and dispatch for a period of]

[Substituted by Act 37 of 1986, Section 3 (w.e.f. 10.2.1987). Earlier, it was inserted by Act 56 of 1972, Section 2 (w.e.f. 12.9.1972).]

[two years]

[Substituted by Act 25 of 1994, Section 2, for " one year" (w.r.e.f. 25.1.1994).]

[after the date of execution of the lease or, having commenced production and dispatch, has discontinued the same for a period of]

[Substituted by Act 37 of 1986, Section 3 (w.e.f. 10.2.1987). Earlier, it was inserted by Act 56 of 1972, Section 2 (w.e.f. 12.9.1972).]

[two year]

[Substituted by Act 25 of 1994, Section 2, for " one year" (w.r.e.f. 25.1.1994).]

[, the lease shall lapse on the expiry of the period of]

[Substituted by Act 37 of 1986, Section 3 (w.e.f. 10.2.1987). Earlier, it was inserted by Act 56 of 1972, Section 2 (w.e.f. 12.9.1972).]

[two years]

[Substituted by Act 25 of 1994, Section 2, for " one year" (w.r.e.f. 25.1.1994).]

[from the date of execution of the lease or, as the case may be, discontinuance of the production and dispatch:

Provided that the State Government may, on an application made by the holder of such lease before it lapses and on

being satisfied that it shall not be possible for the holder of the lease to undertake production and dispatch or to continue such production and dispatch for reasons beyond his control, make an order, within a period of three months from the date of receipt of such application, to extend the period of two years by a further period not exceeding one year and such extension shall not be granted for more than once during the entire period of lease:

Provided further that such lease shall lapse on failure to undertake production and dispatch or having commenced the production and dispatch fails to continue the same before the end of such extended period.

5.

Restrictions on the grant of mineral concession.

[(1) A State Government shall not grant a]

[Substituted by Act 25 of 1994, Section 3, for sub-Section (1) (w.r.e.f. 25.1.1994).]

[mineral concession, prospecting license or mining lease]

[Substituted by Act 38 of 1999, Section 7, for "prospecting license or mining lease"(w.e.f. 18.12.1999).]

[to any person unless such person-

(a)

is an Indian national, or a company as defined in [clause (20) of section 2 of the Companies Act, 2013 (18 of 2013

)]; and

(b)

satisfies such conditions as may be prescribed:

[Provided that in respect of any mineral specified in Part A and Part B of the First Schedule, no mineral concession, prospecting licence or mining lease shall be granted except with the previous approval of the Central Government.]

[Substituted for the existing proviso by Act No. 10 of 2015.]

[[Provided also that the composite licence or mining lease shall not be granted for an area to any person other than the Government, Government company or corporation, in respect of any minerals specified in Part B of the First Schedule where the grade of such mineral in such area is equal to or above such threshold value as may be notified by the Central Government.]]

Explanation. - For the purposes of this sub-section, a person shall be deemed to be an Indian national,-

(a)

in the case of a firm or other association of individuals, only if all the members of the firm or members of the association are citizens of India; and

(b)

in the case of an individual, only if he is a citizen of India.]

(2)

[No mining lease shall be granted by the State Government unless it is satisfied that-]

[Substituted by Act 37 of 1986, Section 4, for Section 5 (w.e.f. 10.2.1987).]

(a)

[there is evidence to show the existence of mineral contents in the area for which the application for a mining lease has been made in accordance with such parameters as may be prescribed for this purpose by the Central Government;]

[Substituted by Act No. 10 of 2015.]

(b)

[there is a mining plan duly approved by the Central Government, or by the State Government, in respect of such category of mines as may be specified by the Central Government, for the development of mineral deposits in the area concerned.]

[Substituted by Act 38 of 1999, Section 7, for Clauses (a) and (b) (w.e.f. 18.12.1999).]

[Provided that a mining lease may be granted upon the filing of a mining plan in accordance with a system established by the State Government for preparation, certification, and monitoring of such plan, with the approval of the Central Government.]

[Inserted by Act No. 10 of 2015.]

6.

Maximum area for which mineral concession may be granted

(1)

No person shall acquire]

[Substituted by Act 25 of 1994, Section 3, for sub-Section (1) (w.r.e.f. 25.1.1994).]

[* *]

[The words " in any one State" omitted by Act 37 of 1986, Section 5 (w.e.f. 10.2.1987).]

[in respect of any mineral or prescribed group of associated minerals]

[Substituted by Act 56 of 1972, Section 3, for sub-Section (1) (w.e.f. 12.9.1972).]

[in a State]

[Inserted by Act 38 of 1999, Section 8 (w.e.f. 18.12.1999).]

-

(a)

[one or more prospecting licenses covering a total area of more than twenty-five square kilometres; or]

[Substituted by Act 56 of 1972, Section 3, for sub-Section (1) (w.e.f. 12.9.1972).]

(aa)

[one or more mineral concession covering a total area of ten thousand square kilometres:

[Inserted by Act 38 of 1999, Section 8 (w.e.f. 18.12.1999).]

Provided that the area granted under a single mineral concession shall not exceed five thousand square kilometres; or]

(ab)

one or more exploration licences covering a total area of more than five thousand square kilometres:

Provided that the area granted under a single exploration licence shall not exceed one thousand square kilometres;

ITEM (b)

[one or more mining leases covering a total area of more than ten square kilometres:

[Substituted by Act 56 of 1972, Section 3, for sub-Section (1) (w.e.f. 12.9.1972).]

[Provided that if the Central Government is of the opinion that in the interest of the development of any mineral or industry, it is necessary so to do, it may, for reasons to be recorded in writing, increase the aforesaid area limits in respect of prospecting licence or mining lease, in so far as it pertains to any particular mineral, or to any specified category of deposits of such mineral, or to any particular mineral located in any particular area.]

(c)

[any mineral concession in respect of any area which is not compact or contiguous:

[Substituted by Act 38 of 1999, Section 8, for Clause (c) (w.e.f. 18.12.1999).]

Provided that if the State Government is of opinion that in the interests of the development of any mineral, it is necessary so to do, it may, for reasons to be recorded in writing, permit any person to acquire a mineral concession, prospecting license or mining lease in relation to any area which is not compact or contiguous.]

(2)

For the purposes of this section, a person acquiring by or in the name of, another person a [mineral concession, prospecting license or mining lease]

[Substituted by Act 38 of 1999, Section 8, for " prospecting license or mining lease" (w.e.f. 18.12.1999).]

which is intended for himself shall be deemed to be acquiring it himself.

(3)

[For the purposes of determining the total area referred to in sub-section (1), the area held under a]

[Inserted by Act 56 of 1972, Section 3 (w.e.f. 12.9.1972).]

[mineral concession, prospecting license or mining lease]

[Substituted by Act 38 of 1999, Section 8, for " prospecting license or mining lease" (w.e.f. 18.12.1999).]

[by a person as a member of a co-operative society, company or other corporation, or a Hindu undivided family or a partner of a firm, shall be deducted from the area referred to in sub-section (1) so that the sum total of the area held by such person, under a]

[Inserted by Act 56 of 1972, Section 3 (w.e.f. 12.9.1972).]

[mineral concession, prospecting license or mining lease]

[Substituted by Act 38 of 1999, Section 8, for " prospecting license or mining lease" (w.e.f. 18.12.1999).]

[, whether as such member or partner, or individually may not, in any case, exceed the total area specified in sub-section (1).]

[Inserted by Act 56 of 1972, Section 3 (w.e.f. 12.9.1972).]

7.

Periods for which prospecting licenses may be granted or renewed.

(1)

The period for which][a mineral concession or prospecting license]

[Substituted by Act 38 of 1999, Section 9, for " a prospecting license" (w.e.f. 18.12.1999).]

may be granted shall not exceed three years.

(2)

A prospecting license shall, if the State Government is satisfied that a longer period is required to enable the licensee to complete prospecting operations, be renewed for such period or periods as that Government may specify:

Provided that the total period for which a prospecting license is granted does not exceed five years:

Provided further that no prospecting license granted in respect of [a mineral included in Part A and Part B to]

[Substituted by Act 38 of 1999, Section 9, for " a mineral included in" (w.e.f. 18.12.1999).]

the First Schedule shall be renewed except with the previous approval of the Central Government.

8.

[Periods for which mining leases may be granted or renewed.

[Substituted by Act No. 10 of 2015.]

(1)

The provisions of this section shall apply to minerals specified in Part A of the First Schedule.

(2)

The maximum period for which a mining lease may be granted shall not exceed thirty years:

Provided that the minimum period for which any such mining lease may be granted shall not be less than twenty years.

(3)

A mining lease may be renewed for a period not exceeding twenty years with the previous approval of the Central Government.]

(4)

Notwithstanding anything contained in this section, in case of Government companies or corporations, the period of mining leases including the existing mining leases, shall be such as may be prescribed by the Central Government:

Provided that the period of mining leases, other than the mining leases granted through auction, shall be extended on payment of such additional amount as specified in the Fifth Schedule:

Provided further that the Central Government may, by notification in the Official Gazette and for reasons to be recorded in writing, amend the Fifth Schedule so as to modify the entries mentioned therein in the said Schedule with effect from such date as may be specified in the said notification.

(5)

Any lessee may, where coal or lignite is used for captive purpose, sell such coal or lignite up to fifty per cent. of the total coal or lignite produced in a year after meeting the requirement of the end use plant linked with the mine in such manner as may be prescribed by the Central Government and on payment of such additional amount as specified in the Sixth Schedule:

Provided that the Central Government may, by notification in the Official Gazette and for the reasons to be recorded in writing, increase the said percentage of coal or lignite that may be sold by a Government company or corporation:

Provided further that the sale of coal shall not be allowed from the coal mines allotted to a company or corporation that has been awarded a power project on the basis of competitive bid for tariff (including Ultra Mega Power Projects):

Provided also that the Central Government may, by notification in the Official Gazette and for reasons to be recorded in writing, amend the Sixth Schedule so as to modify the entries mentioned therein with effect from such date as may be specified in the said notification.?.

8A.

[Period of grant of a mining lease for minerals other than coal, lignite and atomic minerals.

[Inserted by Act No. 10 of 2015.]

(1)

The provisions of this section shall apply to minerals other than those specified in Part A and Part B of the First Schedule.

(2)

On and from the date of the commencement of the Mines and Minerals (Development and Regulation) Amendment Act, 2015, all mining leases shall be granted for the period of fifty years.

(3)

All mining leases granted before the commencement of the Mines and Minerals (Development and Regulation) Amendment Act, 2015 shall be deemed to have been granted for a period of fifty years.

(4)

On the expiry of the lease period, the lease shall be put up for auction as per the procedure specified in this Act.

(5)

Notwithstanding anything contained in sub-sections (2), (3) and sub-section (4), the period of lease granted before the date of commencement of the Mines and Minerals (Development and Regulation) Amendment Act, 2015, where mineral is used for captive purpose, shall be extended and be deemed to have been extended up to a period ending on the 31st March, 2030 with effect from the date of expiry of the period of renewal last made or till the completion of renewal period, if any, or a period of fifty years from the date of grant of such lease, whichever is later, subject to the condition that all the terms and conditions of the lease have been complied with.

(6)

Notwithstanding anything contained in sub-sections (2), (3) and sub-section (4), the period of lease granted before the date of commencement of the Mines and Minerals (Development and Regulation) Amendment Act, 2015, where mineral is used for other than captive purpose, shall be extended and be deemed to have been extended up to a period ending on the 31st March, 2020 with effect from the date of expiry of the period of renewal last made or till the completion of renewal period, if any, or a period of fifty years from the date of grant of such lease, whichever is later, subject to the condition that all the terms and conditions of the lease have been complied with.

(7)

Any holder of a lease granted, where mineral is used for captive purpose, shall have the right of first refusal at the time of auction held for such lease after the expiry of the lease period.

(7A)

Any lessee may, where mineral is used for captive purpose, sell mineral up to fifty per cent. of the total mineral produced in a year after meeting

the requirement of the end use plant linked with the mine in such manner as may be prescribed by the Central Government and on payment of such additional amount as specified in the Sixth Schedule:

Provided that the Central Government may, by notification in the Official Gazette and for the reasons to be recorded in writing, increase the said percentage of mineral that may be sold by a Government company or corporation:

Provided further that the Central Government may, by notification in the Official Gazette and for reasons to be recorded in writing, amend the Sixth Schedule so as to modify the entries mentioned therein with effect from such date as may be specified in the said notification.?

(8)

Notwithstanding anything contained in this section, the period of mining leases, including existing mining leases, of Government companies or corporations shall be such as may be prescribed by the Central Government.

Provided that the period of mining leases, other than the mining leases granted through auction, shall be extended on payment of such additional amount as specified in the Fifth Schedule:

Provided further that the Central Government may, by notification in the Official Gazette and for reasons to be recorded in writing, amend the Fifth Schedule so as to modify the entries mentioned therein with effect from such date as may be specified in the said notification.

Explanation.?For the removal of doubts, it is hereby clarified that all such Government companies or corporations whose mining lease has been extended after the commencement of the Mines and Minerals (Development and Regulation) Amendment Act, 2015, shall also pay such additional amount as specified in the Fifth Schedule for the mineral produced after the commencement of the Mines and Minerals (Development and Regulation) Amendment Act, 2021.?

(9)

The provisions of this section, notwithstanding anything contained therein, shall not apply to a mining lease granted before the date of commencement of the Mines and Minerals (Development and Regulation) Amendment Act, 2015, for which renewal has been rejected, or which has been determined, or lapsed.]

8B.

Provisions for period and transfer of statutory clearances.

(1)

Notwithstanding anything contained in this Act or any other law for the time being in force, all valid rights, approvals, clearances, licences and the like granted to a lessee in respect of a mine (other than those granted under the provisions of the Atomic Energy Act, 1962 and the rules made thereunder) shall continue to be valid even after expiry or termination of lease and such rights, approvals, clearances, licences and the like shall be transferred to, and vested; subject to the conditions provided under such laws; in the successful bidder of the mining lease selected through auction under this Act:

Provided that where on the expiry of such lease period, mining lease has not been executed pursuant to an auction under provisions of sub-section (4) of section 8A, or lease executed pursuant to such auction has been terminated within a period of one year from such auction, the State Government may, with the previous approval of the Central Government, grant lease to a Government company or corporation for a period not exceeding ten years or till selection of new lessee through auction, whichever is earlier and such Government company or corporation shall be deemed to have acquired all valid rights, approvals, clearances, licences and the like vested with the previous lessee:

Provided further that the provisions of sub-section (1) of section 6 shall not apply where such mining lease is granted to a Government company or corporation under the first proviso:

Provided also that in case of atomic minerals having grade equal to or above the threshold value, all valid rights, approvals, clearances, licences and the like in respect of expired or terminated mining leases shall be deemed to have been transferred to, and vested in the Government company or corporation that has been subsequently granted the mining lease for the said mine.

(2)

Notwithstanding anything contained in any other law for the time being in force, it shall be lawful for the new lessee to continue mining operations on the land till expiry or termination of mining lease granted to it, in which mining operations were being carried out by the previous lessee.

9.

Royalties in respect of mining leases.

(1)

The holder of a mining lease granted before the commencement of this Act shall, notwithstanding anything contained in the instrument of lease or in any law in force at such commencement, pay royalty in respect of any [mineral removed or consumed by him or by his agent, manager, employee, contractor or sub-lessee] from the leased area after such commencement, at the rate for the time being specified in the Second Schedule in respect of that mineral.

(2)

The holder of a mining lease granted on or after the commencement of this Act shall pay royalty in respect of any [mineral removed or consumed by him or by his agent, manager, employee, contractor or sub-lessee]

[Inserted by Act 56 of 1972, Section 4 (w.e.f. 12.9.1972).]

from the leased area at the rate for the time being specified in the Second Schedule in respect of that mineral.

[(2-A) The holder of a mining lease, whether granted before or after the commencement of the Mines and Minerals (Regulation and Development) Amendment Act, 1972, shall not be liable to pay any royalty in respect of any coal consumed by a workman engaged in a colliery provided that such consumption by the workman does not exceed one-third of a tonne per month.]

[Inserted by Act 56 of 1972, Section 4 (w.e.f. 12.9.1972).]

(3)

The Central Government may, by notification in the Official Gazette, amend the Second Schedule so as to enhance or reduce the rate at which royalty shall be payable in respect of any mineral with effect from such date as may be specified in the notification:

[Provided that the Central Government shall not enhance the rate of royalty in respect of any mineral more than once during any period of]

[Substituted by Act 56 of 1972, Section 4, for the proviso (w.e.f. 12.9.1972).]

[three years]

[Substituted by Act 37 of 1986, Section 8, for " four years" (w.e.f. 10.2.1987).]

.]

9A.

[Dead rent to be paid by the lessee.]

(1)

The holder of a mining lease, whether granted before or after the commencement of the Mines and Minerals (Regulation and Development) Amendment Act, 1972, shall, notwithstanding anything contained in the instrument of lease or in any other law for the time being in force, pay to the State Government, every year, dead rent at such rate as may be specified, for the time being, in the Third Schedule, for all the areas included in the instrument of lease:

Provided that where the holder of such mining lease becomes liable, under section 9, to pay royalty for any mineral removed or consumed by him or by his agent, manager, employee, contractor or sub-lessee from the leased area, he shall be liable to pay either such royalty or the dead rent in respect of that area, whichever is greater.

(2)

The Central Government may, by notification in the Official Gazette, amend the Third Schedule so as to enhance or reduce the rate at which the dead rent shall be payable in respect of any area covered by a mining lease and such enhancement or reduction shall take effect from such date as may be specified in the notification:

Provided that the Central Government shall not enhance the rate of the dead rent in respect of any such area more than once during any period of [three years]

[Substituted by Act 37 of 1986, Section 9, for " four years" (w.e.f. 10.2.1987).]

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9B.

[District Mineral Foundation.

[Inserted by Act No. 10 of 2015.]

(1)

In any district affected by mining related operations, the State Government shall, by notification, establish a trust, as a non-profit body, to be called the District Mineral Foundation.

(2)

The object of the District Mineral Foundation shall be to work for the interest and benefit of persons, and areas affected by mining related operations in such manner as may be prescribed by the State Government.

(3)

The composition and functions of the District Mineral Foundation shall be such as may be prescribed by the State Government.

Provided that the Central Government may give directions regarding composition and utilisation of fund by the District Mineral Foundation.

?Provided that the Central Government may give directions regarding composition and utilisation of fund by the District Mineral Foundation.?

(4)

The State Government while making rules under sub-sections (2) and (3) shall be guided by the provisions contained in article 244 read with Fifth and Sixth Schedules to the Constitution relating to administration of the Scheduled Areas and Tribal Areas and the Provisions of the Panchayats (Extension to the Scheduled Areas) Act, 1996 and the Scheduled Tribes and Other Traditional Forest Dwellers (Recognition of Forest Rights) Act, 2006.

(5)

The holder of a mining lease or a composite licence granted on or after the date of commencement of the Mines and Minerals (Development and Regulation) other than those covered under the provisions of sub-section (2) of section 10A?, shall, in addition to the royalty, pay to the District Mineral Foundation of the district in which the mining operations are carried on, an amount which is equivalent to such percentage of the royalty paid in terms of the Second Schedule, not exceeding one-third of such royalty, as may be prescribed by the Central Government.

(6)

The holder of a mining lease granted before the date of commencement of the Mines and Minerals (Development and Regulation) other those covered under the provisions of sub-section (2) of section 10A?, shall, in addition to the royalty, pay to the District Mineral Foundation of the district in which the mining operations are carried on, an amount not exceeding the royalty paid in terms of the Second Schedule in such manner and subject to the categorisation of the mining leases and the amounts payable by the various categories of lease holders, as may be prescribed by the Central

Government.

9C.

National Mineral Exploration Trust.

(1)

The Central Government shall, by notification, establish a Trust, as a on-profit autonomous body, to be called the National Mineral Exploration Trust.

(2)

The object of the Trust shall be to use the funds accrued to the Trust for the purposes of regional and detailed exploration in such manner as may be prescribed by the Central Government.

(3)

The composition and functions of the Trust shall be such as may be prescribed by the Central Government.

(4)

The holder of a mining lease or a composite licence shall pay to the Trust, a sum equivalent to two per cent. of the royalty paid in terms of the Second Schedule, in such manner as may be prescribed by the Central Government.]

(5)

The entities specified and notified under sub-section (1) of section 4 shall be eligible for funding under the National Mineral Exploration Trust.

Chapter III

PROCEDURE FOR OBTAINING MINERAL CONCESSION IN RESPECT OF LAND IN WHICH THE MINERALS VEST IN THE GOVERNMENT

10.

Application for mineral concession

(1)

An application for [a mineral concession, prospecting license or a mining lease] in respect of any land in which the minerals vest in the Government shall be made to the State Government concerned in the prescribed form and shall be accompanied by the prescribed fee.

(2)

Where an application is received under sub-section (1), there shall be sent to the applicant an acknowledgement of its receipt within the prescribed time and in the prescribed form.

(3)

On receipt of an application under this section, the State Government may, having regard to the provisions of this Act and any rules made thereunder, grant or refuse to grant the [permit, license or lease]

[Substituted by Act 38 of 1999, Section 11, for " license or lease" (w.e.f. 18.12.1999).]

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(4)

Notwithstanding anything contained in this section, no person shall be eligible to make an application under this section unless-

(a)

he has been selected in accordance with the procedure specified under sections sections 10B, 10BA, 11, 11A, 11B or 11D;

(b)

he has been selected under the Coal Mines (Special) Provisions Act, 2015; or

(c)

an area has been reserved in his favour under section 17A.

10A.

[Rights of existing concession holders and applicants.

[Inserted by Act No. 10 of 2015.]

(1)

All applications received prior to the date of commencement of the Mines and Minerals (Development and Regulation) Amendment Act, 2015, shall become ineligible.

(2)

Without prejudice to sub-section (1), the following shall remain eligible on and from the date of commencement of the Mines and Minerals (Development and Regulation) Amendment Act, 2015:-

(a)

applications received under section 11A of this Act;

(b)

where before the commencement of the Mines and Minerals (Development and Regulation) Amendment Act, 2015 a mineral concession or prospecting licence has been granted in respect of any land for any mineral, the permit holder or the licensee shall have a right for obtaining a prospecting licence followed by a mining lease, or a mining lease, as the case may be, in respect of that mineral in that land, if the State Government is satisfied that the permit holder or the licensee, as the case may be,-

Provided that for the cases covered under this clause including the pending cases, the right to obtain a prospecting licence followed by a mining lease or a mining lease, as the case may be, shall lapse on the date of commencement of the Mines and Minerals (Development and Regulation) Amendment Act, 2021:

Provided further that the holder of a reconnaissance permit or prospecting licence whose rights lapsed under the first proviso, shall be reimbursed the expenditure incurred towards reconnaissance or prospecting operations in such manner as may be prescribed by the Central Government.

(i)

has undertaken reconnaissance operations or prospecting operations, as the case may be, to establish the existence of mineral contents in such land in accordance with such parameters as may be prescribed by the Central Government;

(ii)

has not committed any breach of the terms and conditions of the mineral concession or the prospecting licence;

(iii)

has not become ineligible under the provisions of this Act; and

(iv)

has not failed to apply for grant of prospecting licence or mining lease, as the case may be, within a period of three months after the expiry of mineral concession or prospecting licence, as the case may be, or within such further period not exceeding six months as may be extended by the State Government;

(c)

where the Central Government has communicated previous approval as required under sub-section (1) of section 5 for grant of a mining lease, or if a letter of intent (by whatever name called) has been issued by the State Government to grant a mining lease, before the commencement of the Mines and Minerals (Development and Regulation) Amendment Act, 2015, the mining lease shall be granted subject to fulfilment of the conditions of the previous approval or of the letter of intent within a period of two years from the date of commencement of the said Act:

Provided that in respect of any mineral specified in the First Schedule, no prospecting licence or mining lease shall be granted under clause (b) of this subsection except with the previous approval of the Central Government.

(d)

in cases where right to obtain licence or lease has lapsed under, clauses (b) and (c), such areas shall be put up for auction as per the provisions of this Act:

Provided that in respect of the minerals specified in Part B of the First Schedule where the grade of atomic mineral is equal to or greater than the threshold, value, the mineral concession for such areas shall be granted in accordance with the rules made under section 11B.

10B.

Grant of mining lease in respect of notified minerals through auction.

(1)

The provisions of this section shall not apply to the, ?

(a)

cases falling under section 17A;

(b)

minerals specified in Part A of the First Schedule;

(c)

minerals specified in Part B of the First Schedule where the grade of atomic mineral is equal to or greater than such

threshold value as may be notified by the Central Government from time to time; or

(d)

land in respect of which the minerals do not vest in the Government.?

(2)

Where there is inadequate evidence to show the existence of mineral contents of any notified mineral in respect of any area, a State Government may, after obtaining the previous approval of the Central Government, grant a composite licence for the said notified mineral in such area in accordance with the procedure laid down in section 11.

(3)

In areas where the existence of mineral contents of any notified mineral is established in the manner prescribed by the Central Government, the State Government shall notify such areas for grant of mining leases for such notified mineral, the terms and conditions subject to which such mining leases shall be granted, and any other relevant conditions, in such manner as may be prescribed by the Central Government.

?Provided that where the State Government has not notified such area for grant of mining lease after establishment of existence of mineral contents of any mineral (whether notified mineral or otherwise), the Central Government may require the State Government to notify such area within a period to be fixed in consultation with the State Government and in cases where the notification is not issued within such period, the Central Government may notify such area for grant of mining lease after the expiry of the period so specified.?

(4)

For the purpose of granting a mining lease in respect of any notified mineral in such notified area, the State Government shall select, through auction by a method of competitive bidding, including e-auction, an applicant who fulfils the eligibility conditions as specified in this Act.

?Provided that-?

(a)

where the State Government has not successfully completed auction for the purpose of granting a mining lease in respect of any mineral (whether notified mineral or otherwise) in such notified area; or

(b)

upon completion of such auction, the mining lease or letter of intent for grant of mining lease has been terminated or lapsed for any

reason whatsoever, the Central Government may require the State Government to conduct and complete the auction or re-auction process, as the case may be, within a period to be fixed in consultation with the State Government and in cases where such auction or re-auction process is not completed within such period, the Central Government may conduct auction for grant of mining lease for such area after the expiry of the period so specified:

Provided further that upon successful completion of the auction, the Central Government shall intimate the details of the preferred bidder in the auction to the State Government and the State Government shall grant mining lease for such area to such preferred bidder in such manner as may be prescribed by the Central Government.?

(5)

The Central Government shall prescribe the terms and conditions, and procedure, subject to which the auction shall be conducted, including the bidding parameters for the selection, which may include a share in the production of the mineral, or any payment linked to the royalty payable, or any other relevant parameter, or any combination or modification of them.

(6)

Without prejudice to the generality of sub-section (5), the Central Government shall, if it is of the opinion that it is necessary and expedient to do so, prescribe terms and conditions, procedure and bidding parameters in respect of categories of minerals, size and area of mineral deposits and a State or States, subject to which the auction shall be conducted:

Provided that the terms and conditions may include the reservation of any particular mine or mines for a particular end-use and subject to such condition which allow only such eligible end users to participate in the auction.

?Provided that no mine shall be reserved for captive purpose in the auction.?

(7)

The State Government shall grant a mining lease to an applicant selected in accordance with the procedure laid down in this section in respect of such notified mineral in any notified area.

10BA.

Grant of exploration licence for minerals specified in Seventh Schedule through auction.

(1)

The provisions of this section shall not apply to?

(a)

the areas covered under section 17A;

(b)

the minerals specified in Part A of the First Schedule;

(c)

the minerals specified in Part B of the First Schedule where the grade of atomic mineral is equal to or greater than such threshold value as may be notified by the Central Government from time to time;

(d)

any land in respect of which the minerals do not vest in the Government.

(2)

Notwithstanding anything contained in sections 10B and 11, an exploration licence may be granted in any area by the State Government for the purpose of undertaking reconnaissance or prospecting operations or both in respect of any mineral specified in the Seventh Schedule.

(3)

The Central Government may, by notification in the Official Gazette, and for reasons to be recorded in writing, amend the Seventh Schedule so as to modify the entries therein with effect from such date as may be specified in the said notification.

(4)

The State Government shall, after obtaining the previous approval of the Central Government, and in such manner as may be prescribed by the Central Government, notify the areas in which exploration licence shall be granted, subject to such terms and conditions as may be specified in the notification.

(5)

The Central Government may require the State Government to notify the area for grant of exploration licence within such period as may be fixed in consultation with the State Government, and in case the State Government does not notify the area within such period, the Central Government may, after the expiry of the period so fixed, notify the area for grant of exploration licence.

(6)

The State Government shall, for the purpose of granting exploration licence through auction by method of competitive bidding, including e-auction, select an applicant who fulfils the eligibility conditions as specified in this Act and grant exploration licence to such applicant.

(7)

Where?

(a)

the State Government has not successfully completed auction for the grant of exploration licence; or

(b)

after completion of auction, the exploration licence or letter of intent for grant of exploration licence has been terminated or lapsed for any reason whatsoever, the Central Government may require the State Government to conduct and complete the auction or re-auction process, as the case may be, within such period as may be fixed in consultation with the State Government, and in cases where such auction or re-auction process is not completed within such period, the Central Government may, after the expiry of the period so fixed, conduct auction for the grant of exploration licence for such area:

Provided that upon successful completion of the auction, the Central Government shall intimate the details of the preferred bidder in the auction to the State Government and the State Government shall grant exploration licence for such area to such preferred bidder in such manner as may be prescribed by the Central Government.

(8)

The holder of exploration licence shall be entitled to a share of applicable amount quoted in the auction of mining leases payable by the lessee to the State Government in respect of the area granted in mining lease pursuant to the

prospecting operations undertaken by the holder of such exploration licence:

Provided that the share in applicable amount payable to the holder of exploration licence by the lessee of such area shall be allowed only in respect of the minerals specified in the Seventh Schedule.

(9)

The Central Government shall by rules provide for the manner of conducting auction for grant of exploration licence, including its terms and conditions, the bidding parameters for selection, share payable to the holder of exploration licence from out of the applicable amount quoted in auction of mining leases payable by the lessee of such area, the period for such payment and such other conditions as may be necessary.

(10)

Notwithstanding anything contained in section 7,?

(a)

the exploration licence shall be granted for a period of five years from the date of execution of the exploration licence;

(b)

if, after three years from the date of execution of exploration licence, but before the date of its expiry, the holder of the exploration licence makes an application for the extension of the period of that licence, the State Government may, on being satisfied that within the period of five years, it shall not be possible for the holder of such licence to complete the reconnaissance or prospecting operations for reasons beyond his control, extend the said period to a further period not exceeding two years.

(11)

After three years from the date of execution of the exploration licence, the holder of such licence may retain an area not exceeding twenty-five per cent. of the total area covered under that licence for the purpose of continuing reconnaissance or prospecting operations and shall surrender the remaining area after submitting a report to the State Government stating the reasons for retention of the area proposed to be retained by him and the boundaries of that area.

(12)

The holder of the exploration licence shall, within three months of the completion of the operations for which licence has been granted, or of the date of expiry of the exploration licence, whichever is earlier, submit a geological report to the State Government explaining the result of the reconnaissance and prospecting operations, in such manner as may be prescribed.

(13)

If the holder of the exploration licence fails to complete the reconnaissance and prospecting operations before expiry of the exploration licence, or fails to submit the geological report within the period specified in sub-section (12), the State Government may take such action as it deems fit, including imposition of penalty.

(14)

Within six months from the date of receipt of the geological report from the holder of the exploration licence, the Central Government or the State Government shall initiate the auction process for grant of one or more separate mining leases under section 10B or section 11 or section 11D, as the case may be, in respect of the area where existence of mineral content is established and shall select the preferred bidder for grant of such mining leases within one year from the date of receipt of the geological report:

Provided that in case the preferred bidder is not selected within the period so specified, the State Government shall pay to the person who was the holder of exploration licence such amount, and in such manner, as may be prescribed."

11. Grant of composite licence through auction in respect of minerals other than notified minerals.

[Substituted by Act No. 10 of 2015.]

(1)

The provisions of this section shall not apply to the,-?

(a)

cases falling under section 17A;

(b)

minerals specified in PartA of the First Schedule;

(c)

minerals specified in Part B of the First Schedule where the grade of atomic mineral is equal to or greater than such threshold value as may be notified by the Central Government from time to time; or

(d)

land in respect of which the minerals do not vest in the Government.?

(2)

In areas where there is evidence to show the existence of mineral contents as required by clause (a) of sub-section (2) of section 5, the State Government shall grant a mining lease for minerals other than notified minerals following the procedure laid down in section 10B.

(3)

In areas where there is inadequate evidence to show the existence of mineral contents as required under clause (a) of sub-section (2) of section 5, the State Government shall grant a composite licence for minerals other than notified minerals in accordance with the procedure laid down in this section.

(4)

The State Government shall notify the areas in which composite licences shall be granted for any minerals other than notified minerals, the terms and conditions subject to which such composite licences shall be granted, and any other relevant conditions, in such manner as may be prescribed by the Central Government.

?Provided that where the State Government has not notified such area for grant of composite licence of any mineral (whether notified mineral or otherwise), the Central Government may require the State Government to notify such area within a period to be fixed in consultation with the State Government and in cases where the notification is not issued within such period, the Central Government may notify such area for grant of composite licence after the expiry of the period so specified.?

(5)

For the purpose of granting composite licences, the State Government shall select, through auction by method of competitive bidding, including e-auction, an applicant who fulfils the eligibility conditions as specified in this Act.

?Provided that?

(a)

where the State Government has not successfully completed auction for the purpose of granting a composite licence in respect of any mineral (whether notified mineral or otherwise) in such notified area; or

(b)

upon completion of such auction, the composite licence or letter of intent for grant of composite licence has been terminated or lapsed for

any reason whatsoever, the Central Government may require the State Government to conduct and complete the auction or re-auction process, as the case may be, within a period to be fixed in consultation with the State Government and in cases where such auction or re-auction process is not completed within such period, the Central Government may conduct auction for grant of composite licence for such area after the expiry of the period so specified:

Provided further that upon successful completion of the auction, the Central Government shall intimate the details of the preferred bidder in the auction to the State Government and the State Government shall grant composite licence for such area to such preferred bidder in such manner as may be prescribed by the Central Government.?

(6)

The Central Government shall prescribe the terms and conditions, and procedure, subject to which the auction shall be conducted, including the bidding parameters for the selection, which may include a share in the production of the mineral, or any payment linked to the royalty payable, or any other relevant parameter, or any combination or modification of them.

(7)

Without prejudice to the generality of sub-section (6), the Central Government shall, if it is of the opinion that it is necessary and expedient to do so, prescribe terms and conditions, procedure and bidding parameters in respect of categories of minerals, size and area of mineral deposits and a State or States, subject to which the auction shall be conducted.

(8)

The State Government shall grant a composite licence to an applicant selected in accordance with the procedure laid down in this section.

(9)

The holder of a composite licence shall be required to complete, within the period laid down in section 7, the

prospecting operations satisfactorily as specified in the notice inviting applications.

(10)

On completion of the prospecting operations, the holder of the composite licence shall submit the result of the prospecting operations in the form of a geological report to the State Government specifying the area require for mining lease and the State Government shall grant mining lease for such area, to the holder of the composite licence in such manner as may be prescribed by the Central Government.??.

11A.

[Procedure in respect of coal or lignite.

[Inserted by Mines And Minerals (Development And Regulation) Amendment Act, 2010 (No. 34 Of 2010)]

- The Central Government may, for the purpose of granting mineral concession, prospecting licence or mining lease in respect of an area containing coal or lignite, select, through auction by competitive bidding on such terms and conditions as may be prescribed, a company engaged in,-

(i)

production of iron and steel;

(ii)

generation of power;

(iii)

washing of coal obtained from a mine; or

(iv)

such other end use as the Central Government may, by notification in the Official Gazette, specify, and the State Government shall grant such mineral concession, prospecting licence or mining lease in respect of coal or lignite to such company as selected through auction by competitive bidding under this section:

Provided that the auction by competitive bidding shall not be applicable to an area containing coal or lignite,-

(a)

where such area is considered for allocation to a Government company or corporation for mining or such other specified end use;

(b)

where such area is considered for allocation to a company or corporation that has been awarded a power project on the basis of competitive bids for tariff (including Ultra Mega Power Projects).

Explanation.-For the purposes of this section, "company" means a company as defined in section 3 of the Companies Act, 1956 and includes a foreign company within the meaning of section 591 of that Act.]

11B.

[Power of Central Government to make rules for regulating atomic minerals specified under Part B of First Schedule.

[Inserted by Act No. 10 of 2015.]

The Central Government may, by notification in the Official Gazette, make rules for regulating the grant of mining leases or other mineral concessions in respect of minerals specified in Part B of the First Schedule and for purposes connected therewith, and the State Government shall grant a mineral concession, prospecting licence or mining lease in respect of any such mineral in accordance with such rules.

11C.

Power of Central Government to amend First Schedule and Fourth Schedule.

The Central Government may, by notification in the Official Gazette, amend the First Schedule and the Fourth Schedule so as to add or delete any mineral as may be specified in the notification.]

11D.

Central Government to conduct auction for grant of mining lease or composite licence in respect of minerals specified in Part D of First Schedule.

(1)

Notwithstanding anything contained in thisAct, the Central Government shall, for the purpose of granting mining lease or composite licence in any area in respect of any mineral specified in the Part D of the First Schedule, select, through auction by method of competitive bidding, including e-auction, a preferred bidder who fulfils the eligibility conditions as specified in section 5, on such terms and conditions, and in such manner, as may be prescribed.

(2)

Upon successful completion of the auction, the Central Government shall intimate the details of the preferred bidder in the auction to the State Government and the State Government shall grant mining lease or composite licence for such area, to such preferred bidder, in such manner, as may be prescribed by the Central Government.

(3)

The royalty, dead rent, applicable amount quoted in the auction and any other statutory payment in relation to the mining lease or composite licence auctioned by the Central Government shall accrue to the State Government or concerned authorities, as the case may be, as if the auction has been conducted by the State Government."

12. Registers of mineral concession.

(1)

The State Government shall cause to be maintained in the prescribed form-

(a)

a register of applications for prospecting licenses;

(b)

a register of prospecting licenses;

(c)

[a register of applications for mining leases;

(d)

a register of mining leases;

(e)

a register of applications for mineral concessions;

(f)

a register of mineral concessions,]

(g)

a register of applications for exploration licences; and

(h)

a register of exploration licences,

in each of which shall be entered such particulars as may be prescribed.

SUBSEC (2)

Every such register shall be open to inspection by any person on payment of such fee as the State Government may fix.

12A.

[Transfer of mineral concessions.

[Inserted by Act No. 10 of 2015.]

(1)

The provisions of this section shall not apply to minerals specified in Part A or Part B of the First Schedule.

(2)

A holder of a mining lease or a composite licence granted in accordance with the procedure laid down in section 10B or section 11 may, with the previous approval of the State Government, transfer his mining lease or composite licence, as the case may be, in such manner as may be prescribed by the Central Government, to any person eligible to hold such mining lease or exploration licence in accordance with the provisions of this Act and the rules made thereunder.

(a)

for the words, figures and letter, "section 10B or section 11", the words "this Act" shall be substituted;

(b)

the following proviso shall be inserted, namely:- "Provided that the transferee of mining lease shall not be required to pay the amount or transfer charges referred to in sub-section (6), as it stood prior to the commencement of the Mines and Minerals (Development and Regulation) Amendment Act, 2021, after such commencement but no refund shall be made of the charges already paid.";

(3)

If the State Government does not convey its previous approval for transfer of such mining lease or composite licence, as the case may be, within a period of ninety days from the date of receiving such notice, it shall be construed that the State Government has no objection to such transfer:

Provided that the holder of the original mining lease or composite licence shall intimate to the State Government the

consideration payable by the successor-in-interest for the transfer, including the consideration in respect of the prospecting operations already undertaken and the reports and data generated during the operations.

(4)

No such transfer of a mining lease or composite licence, referred to in sub-section (2), shall take place if the State Government, within the notice period and for reasons to be communicated in writing, disapproves the transfer on the ground that the transferee is not eligible as per the provisions of this Act:

Provided that no such transfer of a mining lease or of a composite licence, shall be made in contravention of any condition subject to which the mining lease or the composite licence was granted.

(5)

All transfers effected under this section shall be subject to the condition that the transferee has accepted all the conditions and liabilities under any law for the time being in force which the transferor was subject to in respect of such a mining lease or composite licence, as the case may be.

Chapter IV

RULES FOR REGULATING THE GRANT OF MINERAL CONCESSIONS

13. Power of Central Government to make rules in respect of minerals.

(1)

The Central Government may, by notification in the Official Gazette, make rules for regulating the grant of [mineral concessions] in respect of minerals and for purposes connected therewith.

(2)

In particular, and without prejudice to the generality of the foregoing power, such rules may provide for all or any of the following matters, namely:-

(a)

the person by whom, and the manner in which, applications for [mineral concessions, prospecting licenses or mining leases]

[Substituted by Act 38 of 1999, Section 14, for " prospecting licenses or mining leases" (w.e.f. 18.12.1999).]

in respect of land in which the minerals vest in the Government may be made and the fees to be paid therefor;

(aa)

the conditions as may be necessary for commencement and continuation of production by the holders of mining leases, under section 4B;

(ab)

the conditions to be fulfilled by the new lessee for obtaining all necessary rights, approvals, clearances, licences and the like under the proviso to sub-section (2) of section 8B;

(ac)

the level of exploration in respect of deep seated minerals or such minerals and the procedure, including the bidding parameters for selection of the holders under the proviso to sub-section (2) of section 10C; [Omitted]

(b)

the time within which, and the form in which, acknowledgment of the receipt of any such application may be sent;

(c)

the matters which may be considered where applications in respect of the same land are received on the same day;

(d)

[the terms and conditions of auction by competitive bidding for selection of the company under section 11A;]

[Inserted by Mines And Minerals (Development And Regulation) Amendment Act, 2010 (No. 34 Of 2010)]

.

(e)

the authority by which [mineral concessions, prospecting licenses or mining leases]

[Substituted by Act 38 of 1999, Section 14, for " prospecting licenses or mining leases" (w.e.f. 18.12.1999).]

in respect of land in which the minerals vest in the Government may be granted;

(f)

the procedure for obtaining a [mineral concession, a prospecting licenses or a mining lease]

[Substituted by Act 38 of 1999, Section 14, for " prospecting licenses or mining leases" (w.e.f. 18.12.1999).]

in respect of any land in which the minerals vest in a person other than the Government and the terms on which, and the

conditions subject to which, such [a permit, license or lease]

[Substituted by Act 38 of 1999, Section 14, for " a prospecting license or a mining lease" (w.e.f. 18.12.1999).]
may be granted or renewed;

(g)

the terms on which, and the conditions subject to which, any other [mineral concession, prospecting license or mining lease]

[Substituted by Act 38 of 1999, Section 14, for " prospecting license or mining lease" (w.e.f. 18.12.1999).]
may be granted or renewed;

(h)

the facilities to be afforded by holders of mining leases to persons deputed by the Government for the purpose of undertaking research or training in matters relating to mining operations;

(i)

[the fixing and collection of fees for]

[Substituted by Act 37 of 1986, Section 11, for Clause (i) (w.e.f. 10.2.1987).]

[mineral concessions, prospecting licenses or mining leases]

[Substituted by Act 38 of 1999, Section 14, for " prospecting licenses or mining leases" (w.e.f. 18.12.1999).]

[surface rent, security deposit, fines, other fees or charges and the time within which and the manner in which the dead rent or royalty shall be payable;]

[Substituted by Act 37 of 1986, Section 11, for Clause (i) (w.e.f. 10.2.1987).]

(j)

the manner in which rights of third parties may be protected (whether by payment of compensation or otherwise) in cases where any such party may be prejudicially affected by reason of any [reconnaissance, prospecting or mining operations]

[Substituted by Act 38 of 1999, Section 14, for " prospecting or mining operations" (w.e.f. 18.12.1999).]

;

(ji)

[parameters of existence of mineral contents under clause (a) of sub-section (2) of section 5;]

[Inserted by Act No. 10 of 2015.]

(k)

the grouping of associated minerals for the purposes of section 6;

(l)

the manner in which, and the conditions subject to which, [a reconnaissance, permit, a prospecting license or a mining lease]

[Substituted by Act 38 of 1999, Section 14, for " a prospecting license or a mining lease" (w.e.f. 18.12.1999).]
may be transferred;

(m)

the construction, maintenance and use of roads, power transmission lines, tramways, railways, aerial ropeways, pipelines and the making of passages for water for mining purposes on any land comprised in a mining lease;

(n)

the form of registers to be maintained under this Act;

[* * *]

[Clause (o) omitted by Act 37 of 1986, Section 11 (w.e.f. 10.2.1987).]

(p)

the reports and statements to be submitted by holders of [mineral concessions or prospecting licenses]

[Substituted by Act 38 of 1999, Section 14, for " prospecting licenses" (w.e.f. 18.12.1999).]

or owners of mines and the authority to which such reports and statements shall be submitted;

(q)

the period within which applications for revision of any order passed by a State Government or other authority in exercise of any power conferred by or under this Act, may be made [the fees to be paid therefor and the documents which shall accompany such applications]

[Inserted by Act 37 of 1986, Section 11 (w.e.f. 10.2.1987).]

and the manner in which such applications shall be disposed of; [*]

[By Act 37 of 1986, Section 11, after clause (q), clause (qq) has been inserted w.e.f. 10.2.1987 but the word " and" at the end of clause (q) has not been omitted nor the word " and" has been added/inserted at the end of clause (qq), which ought to have been done by the said Act. To put the matter in right prospective corrections have been made accordingly-(Ed).]

(qq)

[the manner in which rehabilitation of flora and other vegetation such as trees, shrubs and the like destroyed by reason of any prospecting or mining operations shall be made in the same area or in any other area selected by the Central Government (whether by way of reimbursement of the cost of rehabilitation or otherwise) by the person holding the prospecting license or mining lease;]

[Inserted by Act 37 of 1986, Section 11 (w.e.f. 10.2.1987).]

[* * *]

[Omitted for the word 'and' by Act No. 10 of 2015.]

(qqa)

[the amount of payment to be made to the District Mineral Foundation under sub-sections (5) and (6) of section 9B;

[Inserted by Act No. 10 of 2015.]

(qqb)

the manner of usage of funds accrued to the National Mineral Exploration Trust under sub-section (2) of section 9C;

(qqc)

the composition and functions of the National Mineral Exploration Trust under sub-section (3) of section 9C;

(qqd)

the manner of payment of amount to the National Mineral Exploration Trust under sub-section (4) of section 9C;

(qqe)

the terms and conditions subject to which mining leases shall be granted under sub-section (3) of section 10B;

(qqf)

the terms and conditions, and procedure, subject to which the auction shall be conducted including the bidding parameters for the selection under sub-section (5) of section 10B;

(qqg)

the time limits for various stages in processing applications for grant of mineral concession under section 10B, 10BA, 11, 11A, 11B, 11D, and section 17A, and their renewals;

(qqi)

the terms and conditions for grant of prospecting license-cum-mining leases under sub-section (4) of section 11;

(qqj)

the terms and conditions, and procedure, including the bidding parameters for the selection under sub-section (6) of section 11;

(qqja)

[the terms and conditions and amount or transfer charges under the proviso to sub-section (6) of section 12A;]

(r)

the period of mining lease under sub-section (4) of section 8;

(s)

the manner of sale of mineral by the holder of a mining lease under sub-section (5) of section 8;

(t)

the manner of sale of mineral under sub-section (7A) of section 8A;

(u)

the manner for reimbursement of expenditure towards reconnaissance permits or prospecting operations under the second proviso to clause (b) of sub-section (2) of section 10A;

(v)

the manner of granting mining lease to the preferred bidder under the second proviso to sub-section (4) of section 10B;

(va)

the manner of notifying the areas for grant of exploration licence under sub-section (4) of section 10BA;

(vb)

the manner of granting exploration licence to the preferred bidder under the proviso to sub-section (7) of section 10BA;
(vc)

the manner of conducting auction for grant of exploration licence, the terms and conditions thereof, the bidding parameters for selection, the share

payable to the holder, the period for payment and other conditions under sub-section (9) of section 10BA;

(vd)

the manner of submitting geological report under sub-section (12) of section 10BA;

(ve)

the amount to be paid and the manner of payment under the proviso to sub-section (14) of section 10BA

(w)

the manner of granting composite licence to the preferred bidder under the second proviso to sub-section (5) of section 11;

(x)

the manner of granting mining lease by the State Government to the holder of the composite licence under sub-section (10) of section 11;

(xa)

the terms and conditions and the manner of selecting a preferred bidder under sub-section (1) of section 11D;

(xb)

the manner of granting a mining lease or composite licence to a preferred bidder under sub-section (2) of section 11D;

(y)

any other matter which is to be, or may be prescribed, under this Act.?

13. A. Power of Central Government to make rules for the grant of prospecting licenses or mining leases in respect of territorial waters or continental shelf of India.

(1)

The Central Government may, by notification in the Official Gazette, make rules for the grant of prospecting licenses or mining leases in respect of any minerals underlying the ocean within the territorial waters or the continental shelf of India.

(2)

Without prejudice to the generality of the foregoing power, such rules may provide for all or any of the following matters, namely:-

(a)

the conditions, limitations and restrictions subject to which such prospecting licenses or mining leases may be granted;

(b)

regulation of exploration and exploitation of minerals within the territorial waters or the continental shelf of India;

(c)

ensuring that such exploration or exploitation does not interfere with navigation; and

(d)

any other matter which is required to be, or may be, prescribed.]

14. [Sections 5 to 13] not to apply to minor minerals.

- The provisions of [sections 5 to 13]

[Substituted by Act 37 of 1986, Section 12, for " Sections 4 to 13" (w.e.f. 10.2.1987).]

(inclusive) shall not apply to [quarry leases, mining leases or other mineral concessions]

[Substituted by Act 56 of 1972, Section 7, for " prospecting licences and mining leases" (w.e.f. 12.9.1972).]

in respect of minor minerals.

15.

Power of State Governments to make rules in respect of minor minerals. - (1) The State Government may, by notification in the Official Gazette, make rules for regulating the grant of [quarry leases, mining leases or other mineral concessions] in respect of minor minerals and for purposes connected therewith.

[(1-A) In particular and without prejudice to the generality of the foregoing power, such rules may provide for all or any of the following matters, namely:-

(a)

the person by whom and the manner in which, applications for quarry leases, mining leases or other mineral concessions may be made and the fees to be paid therefor;

(b)

the time within which, and the form in which, acknowledgment of the receipt of any such applications may be sent;

(c)

the matters which may be considered where applications in respect of the same land are received within the same day;

(d)

the terms on which, and the conditions subject to which and the authority by which quarry leases, mining leases or other mineral concessions may be granted or renewed;

(e)

the procedure for obtaining quarry leases, mining leases or other mineral concessions;

(f)

the facilities to be afforded by holders of quarry leases, mining leases or other mineral concessions to persons deputed by the Government for the purpose of undertaking research or training in matters relating to mining operations;

(g)

the fixing and collection of rent, royalty, fees, dead rent, fines or other charges and the time within which and the manner in which these shall be payable;

(h)

the manner in which rights of third parties may be protected (whether by way of payment of compensation or otherwise) in cases where any such party is prejudicially affected by reason of any prospecting or mining operations;

(i)

the manner in which rehabilitation of flora and other vegetation such as trees, shrubs and the like destroyed by reason of any quarrying or mining operations shall be made in the same area or in any other area selected by the State Government (whether by way of reimbursement of the cost of rehabilitation or otherwise) by the person holding the quarrying or mining lease;

(j)

the manner in which and the conditions subject to which, a quarry lease, mining lease or other mineral concession may be transferred;

(k)

the construction, maintenance and use of roads, power transmission lines, tramways, railways, aerial ropeways, pipelines and the making of passage for water for mining purposes on any land comprised in a quarry or mining lease or other mineral concession;

(l)

the form of registers to be maintained under this Act;

(m)

the reports and statements to be submitted by holders of quarry or mining leases or other mineral concessions and the authority to which such reports and statements shall be submitted;

(n)

the period within which and the manner in which and the authority to which applications for revision of any order passed by any authority under these rules may be made, the fees to be paid therefor, and the powers of the revisional authority; and

(o)

any other matter which is to be, or may be, prescribed.]

(2)

Until rules are made under sub-section (1), any rules made by a State Government regulating the grant of [quarry leases, mining leases or other mineral concessions]

[Substituted by Act 56 of 1972, Section 8, for " prospecting licenses and mining leases" (w.e.f. 12.9.1972).]

in respect of minor minerals which are in force immediately before the commencement of this Act shall continue in force.

(3)

[The holder of a mining lease or any other mineral concession granted under any rule made under sub-section (1) shall pay]

[Inserted by Act 56 of 1972, Section 8 (w.e.f. 12.9.1972).]

[royalty or dead rent, whichever is more]

[Substituted by Act 37 of 1986, Section 13, for " royalty" (w.e.f. 10.2.1987).]

, in respect of minor minerals removed or consumed by him or by his agent, manager, employee, contractor or sub-lessee at the rate prescribed for the time being in the rules framed by the State Government in respect of minor minerals:

Provided that the State Government shall not enhance the rate of [royalty or dead rent]

[Substituted by Act 37 of 1986, Section 13, for " royalty" (w.e.f. 10.2.1987).]

in respect of any minor mineral for more than once during any period of [three years]

[Substituted by Act 37 of 1986, Section 13, for " four years" (w.e.f. 10.2.1987).]

.

(4)

[Without prejudice to sub-sections (1), (2) and sub-section (3), the State Government may, by notification, make rules for regulating the provisions of this Act for the following, namely:-

(a)

the manner in which the District Mineral Foundation shall work for the interest and benefit of persons and areas affected by mining under sub-section (2) of section 9B;

(b)

the composition and functions of the District Mineral Foundation under sub-section (3) of section 9B; and

(c)

the amount of payment to be made to the District Mineral Foundation by concession holders of minor minerals under section 15A.]

15A.

[Power of State Government to collect funds for District Mineral Foundation in case of minor minerals.

[Inserted by Act No. 10 of 2015.]

- The State Government may prescribe the payment by all holders of concessions related to minor minerals of amounts to the District Mineral Foundation of the district in which the mining operations are carried on.]

[Inserted by Act No. 10 of 2015.]

16.

Power to modify mining leases granted before 25th October, 1949.

(1)

(a)

All mining leases granted before the commencement of the Mines and Minerals (Regulation and Development) Amendment Act, 1972,

[Inserted by Act 37 of 1986, Section 13 (w.e.f. 10.2.1987).]

[if in force at the date of commencement of the Mines and Minerals (Regulation and Development) Amendment Act, 1994, shall be brought in conformity with the provisions of this Act and the rules made thereunder within two years from the date of the commencement of the Mines and Minerals (Regulation and Development) Amendment Act, 1994]

[Substituted by Act 25 of 1994, Section 6, for certain words (w.r.e.f. 25.1.1994).]

[, or such further time as the Central Government may, by general or special order, specify in this behalf.

(b)

Where the rights under any mining lease, granted by the proprietor of an estate or tenure before the commencement of the Mines and Minerals (Regulation and Development) Amendment Act, 1972, have vested, on or after the 25th day of October, 1949, in the State Government in pursuance of the provisions of any Act of any Provincial or State Legislature which provides for the acquisition of estates or tenures or provides for agrarian reform, such mining lease shall be brought into conformity with the provisions of this Act and the rules made thereunder within][two years from the commencement of the Mines and Minerals (Regulation and Development) Amendment Act, 1994]

[Substituted by Act 25 of 1994, Section 6, for certain words (w.r.e.f. 25.1.1994).]

[, or within such further time as the Central Government may, by general or special order, specify in this behalf.]

[Substituted by Act 56 of 1972, Section 9, for sub-Section (1) (w.e.f. 12.9.1972).]

1A.

Where any action is taken under clause (a) or clause (b) of sub-section (1) to bring the period of any lease in conformity with the provisions of this Act and the rules made thereunder, then, notwithstanding anything contained in section 8, the period of such lease shall continue to operate for a period of two years from the date of bringing such lease in conformity with the provisions of this Act.]

[Inserted by Act 25 of 1994, Section 6 (w.r.e.f. 25.1.1994).]

(2)

The Central Government may, by notification in the Official Gazette, make [rules]

[See the Mining Leases (Modification of Terms) Rules, 1956.]

for the purpose of giving effect to the provisions of sub-section (1) and in particular such rules shall provide-

(a)

for giving previous notice of the modification or alteration proposed to be made in any existing mining lease to the lessee and where the lessor is not the Central Government, also to the lessor and for affording him an opportunity of showing cause against the proposal;

(b)

for the payment of compensation to the lessee in respect of the reduction of any area covered by the existing mining lease; and

(c)

for the principles on which, the manner in which, and the authority by which, the said compensation shall be determined.

Chapter V

Special Powers Of Central Government To Undertake Prospecting Or Mining Operations In Certain Cases

17.

Special powers of Central Government to undertake prospecting or mining operations in certain lands. - (1) The provisions of this section shall apply [* * *]

[Substituted by Act 56 of 1972, Section 9, for sub-Section (1) (w.e.f. 12.9.1972).]

in respect of land in which the minerals vest in the Government of a State [or any other person]

[Inserted by Act 56 of 1972, Section 10 (w.e.f. 12.9.1972).]

.

(2)

Notwithstanding anything contained in this Act, the Central Government, after consultation with the State Government, may undertake [reconnaissance, prospecting or mining operations]

[Substituted by Act 38 of 1999, Section 15, for " prospecting or mining operations" (w.e.f. 18.12.1999).]

in any area not already held under any [mineral concession, prospecting license or mining lease]

[Substituted by Act 38 of 1999, Section 15, for " prospecting license or mining lease" (w.e.f. 18.12.1999).]

and where it proposes to do so, it shall, by notification in the Official Gazette-

(a)

specify the boundaries of such area;

(b)

state whether [reconnaissance, prospecting or mining operations]

[Substituted by Act 38 of 1999, Section 15, for " prospecting or mining operations" (w.e.f. 18.12.1999).]

will be carried out in the area; and

(c)

specify the mineral or minerals in respect of which such operations will be carried out.

(3)

Where, in exercise of the powers conferred by sub-section (2), the Central Government undertakes [reconnaissance, prospecting or mining operations]

[Substituted by Act 38 of 1999, Section 15, for " prospecting or mining operations" (w.e.f. 18.12.1999).]

in any area, the Central Government shall be liable to pay [mineral concession fee or prospecting fee]

[Substituted by Act 38 of 1999, Section 15, for " prospecting fee" (w.e.f. 18.12.1999).]

royalty, surface rent or dead rent, as the case may be, at the same rate at which it would have been payable under this Act, if such [reconnaissance, prospecting or mining operations]

[Substituted by Act 38 of 1999, Section 15, for " prospecting or mining operations" (w.e.f. 18.12.1999).]

had been undertaken by a private person under a [mineral concession, prospecting license or mining lease.]
[Substituted by Act 38 of 1999, Section 15, for " prospecting license or mining lease" (w.e.f. 18.12.1999).]

(4)

The Central Government, with a view to enabling it to exercise the powers conferred on it by sub-section (2) may, after consultation with the State Government, by notification in the Official Gazette, declare that no [mineral concession, prospecting license, or mining lease]

[Substituted by Act 38 of 1999, Section 15, for " prospecting license or mining lease" (w.e.f. 18.12.1999).]

shall be granted in respect of any land specified in the notification.

17A.

Reservation of area for purposes of conservation.

(1)

The Central Government, with a view to conserving any mineral and after consultation with the State Government, may reserve any area not already held under any prospecting license or mining lease and, where it proposes to do so, it shall, by notification in the Official Gazette, specify the boundaries of such area and the mineral or minerals in respect of which such area will be reserved.]

(1A)

The Central Government may, in consultation with the State Government, reserve any area not already held under any prospecting license or exploration licence or mining lease, for undertaking prospecting or mining operations through a Government company or corporation owned or controlled by it, and where it proposes to do so, it shall, by notification in the Official Gazette, specify the boundaries of such area and the mineral or minerals in respect of which such area will be reserved.]

[Inserted by Act 25 of 1994, Section 7 (w.r.e.f. 25.1.1994).]

(2)

[The State Government may, with the approval of the Central Government, reserve any area not already held under any prospecting license or exploration licence or mining lease, for undertaking prospecting or mining operations through a Government company or corporation owned or controlled by it]

[Inserted by Act 37 of 1986, Section 14 (w.e.f. 10.2.1987).]

[* * *]

[The words " or by the Central Government" omitted by Act 25 of 1994, Section 7 (w.r.e.f. 25.1.1994).]

[and where it proposes to do so, it shall, by notification in the Official Gazette, specify the boundaries of such area and the mineral or minerals in respect of which such areas will be reserved.]

[Inserted by Act 37 of 1986, Section 14 (w.e.f. 10.2.1987).]

(2A)

Where in exercise of the powers conferred by sub-section (1A) or sub-section (2), the Central Government or the State Government, as the case may be, reserves any area for undertaking prospecting or mining operations or prospecting operations followed by mining operations, the State Government shall grant prospecting licence, mining lease or composite licence, as the case may be, in respect of such area to such Government company or corporation within the period specified in this section:

Provided that in respect of any mineral specified in Part B of the First Schedule, the State Government shall grant the prospecting licence, mining lease or composite licence, as the case may be, only after obtaining the previous, approval of the Central Government.?

(2B)

Where the Government company or corporation is desirous of carrying out the prospecting operations or mining operations in a joint venture with other persons, the joint venture partner shall be selected through a competitive process, and such Government company or corporation shall hold more than seventy-four per cent. of the paid up share capital in such joint venture.

(2C)

A mining lease granted to a Government company or corporation, or a joint venture, referred to in sub-sections (2A) and (2B), shall be granted on payment of such amount as may be prescribed by the Central Government.]

[Inserted by Act No. 10 of 2015.]

(i)

for the words, "may be prescribed by the Central Government", the words "specified in the Fifth Schedule" shall be substituted;

(ii)

the following shall be inserted, namely: "Provided that the Central Government may, by notification in the Official Gazette and for reasons to be recorded in writing, amend the Fifth Schedule so as to modify the entries mentioned therein in the said Schedule with effect from such date as may be specified in the said notification.

Explanation. "For the removal of doubts, it is hereby clarified that all such Government companies or corporations whose mining lease has been granted after the commencement of the Mines and Minerals (Development and Regulation) Amendment Act, 2015, shall also pay such additional amount as specified in the Fifth Schedule for the mineral produced after the commencement of the Mines and Minerals (Development and Regulation) Amendment Act, 2021."

(3)

[Where, in exercise of the powers conferred by sub-section (1-A) or sub-section (2), the Central Government or the State Government, as the case may be,]

[Substituted by Act 25 of 1994, Section 7, for "Where, in exercise of the powers conferred by sub-Section (2), the State Government" (w.r.e.f. 25.1.1994).]

[undertakes prospecting or mining operations in any area in which the minerals vest in a private person, it shall be liable to pay prospecting fee, royalty, surface rent or dead rent, as the case may be, from time to time at the same rate at which it would have been payable under this Act if such prospecting or mining operations had been undertaken by a private person under prospecting license or mining lease.]

[Inserted by Act 37 of 1986, Section 14 (w.e.f. 10.2.1987).]

(4)

The reservation made under this section shall lapse in case no mining lease is granted within a period of five years from the date of such reservation:

Provided that where the period of five years from the date of reservation has expired before the date of commencement of the Mines and Minerals (Development and Regulation) Amendment Act, 2021 or expires within a period of one year from the date of commencement of the said Act, the reservation shall lapse in case no mining lease is granted within a period of one year from the date of commencement of the said Act:

Provided further that the State Government may, on an application made by such Government company or corporation or on its own motion, and on being satisfied that it shall not be possible to grant the mining lease within the said period, make an order with reasons in writing, within a period of three months from the date of receipt of such application, to relax such period by a further period not exceeding one year:

Provided also that where the Government company or corporation in whose favour an area has been reserved under this section before the commencement of the Mines and Minerals (Development and Regulation) Amendment Act, 2015, has commenced production from the reserved area without execution of mining lease, such Government company or corporation shall be deemed to have become lessee of the State Government from the date of commencement of mining operations and such deemed lease shall lapse upon execution of the mining lease in accordance with this sub-section or expiry of period of one year from the date of commencement of the Mines and Minerals (Development and Regulation) Amendment Act, 2021, whichever is earlier.

(5)

The termination or lapse of mining lease shall result in the lapse of the reservation under this section.?

Chapter VI

Development of Minerals

18.

Mineral development. - (1) It shall be the duty of the Central Government to take all such steps as may be necessary [for the conservation and systematic development of minerals in India and for the protection of environment by preventing or controlling any pollution which may be caused by prospecting or mining operations] and [for such purposes]

[Substituted by Act 37 of 1986, Section 15, for certain words (w.e.f. 10.2.1987).]

the Central Government may, by notification in the Official Gazette, make such [rules]

[See the Minerals Conservation and Development Rules, 1958 made in supersession of the Minerals Conservation and Development Rules, 1955.]

as it thinks fit.

(2)

In particular, and without prejudice to the generality of the foregoing power, such rules may provide for all or any of the following matters, namely:-

(a)

the opening of new mines and the regulation of mining operations in any area;

(b)

the regulation of the excavation or collection of minerals from any mine;

(c)

the measures to be taken by owners of mines for the purpose of beneficiation of ores, including the provision of suitable contrivances for such purpose;

(d)

the development of mineral resources in any area;

(e)

the notification of all new borings and shaft sinkings and the preservation of bore-hole records, and specimens of cores of all new bore-holes;

(f)

the regulation of the arrangements for the storage of minerals and the stocks thereof that may be kept by any person;

(g)

the submission of samples of minerals from any mine by the owner thereof and the manner in which and the authority to which such samples shall be submitted; and the taking of samples of any minerals from any mine by the State Government or any other authority specified by it in that behalf;

(h)

the submission by owners of mines of such special or periodical returns and reports as may be specified, and the form in which and the authority to which such returns and reports shall be submitted;

(i)

[the regulation of prospecting operations;

[Inserted by Act 37 of 1986, Section 15 (w.e.f. 10.2.1987).]

(j)

the employment of qualified geologists or mining engineers to supervise prospecting or mining operations;

(k)

the disposal or discharge of waste slime or tailings arising from any mining or metallurgical operations carried out in a mine;

(l)

the manner in which and the authority by which directions may be issued to the owners of any mine to do or refrain from doing certain things in the interest of conservation or systematic development of minerals or for the protection of environment by preventing or controlling pollution which may be caused by prospecting or mining operations;

(m)

the maintenance and submission of such plans, registers of records as may be specified by the Government;

(n)

the submission of records or reports by persons carrying on prospecting or mining operations regarding any research in mining or geology carried out by them;

(o)

the facilities to be afforded by persons carrying out prospecting or mining operations to persons authorised by the Central Government for the purpose of undertaking research or training in matters relating to mining or geology;

(p)

the procedure for and the manner of imposition of fines for the contravention of any of the rules framed under this section and the authority who may impose such fines; and

(q)

the authority to which, the period within which, the form and the manner in which applications for revision of any order passed by any authority under this Act and the rules made thereunder may be made, the fee to be paid and the

documents which should accompany such applications.]

(3)

All rules made under this section shall be binding on the Government.

[18-A. Power to authorise Geological Survey of India, etc., to make investigation.

(1)

Where the Central Government is of opinion that for the conservation and development of minerals in India, it is necessary to collect as precise information as possible with regard to any mineral available in or under any land in relation to which any prospecting license or mining lease has been granted, whether by the State Government or by any other person, the Central Government may authorise the Geological Survey of India, or such other authority or agency as it may specify in this behalf, to carry out such detailed investigations for the purpose of obtaining such information as may be necessary:

Provided that in the cases of prospecting licenses or mining leases granted by a State Government, no such authorisation shall be made except after consultation with the State Government.

(2)

On the issue of any authorisation under sub-section (1), it shall be lawful for the Geological Survey of India or the specified authority or agency, and its servants and workmen-

(a)

to enter upon such land,

(b)

to dig or bore into the sub-soil,

(c)

to do all other acts necessary to determine the extent of any mineral available in or under such land,

(d)

to set out boundaries of the land in which any mineral is expected to be found,

(e)

to mark such boundaries and line by placing marks,

(f)

where otherwise the survey cannot be completed on the boundaries and line marked, to cut down and clear away any part of any standing crop, fence or jungle:

Provided that no such authority or agency shall enter into any building or upon any enclosed Court or garden attached to a dwelling-house (except with the consent of the occupier thereof) without previously giving such occupier at least seven days' notice in writing of its intention to do so.

(3)

Whenever any action of the nature specified in sub-section (2) is to be taken, the Central Government shall, before or at the time when such action is taken, pay or tender payment for all necessary damage which is likely to be caused, and in case of dispute as to the sufficiency of the amount so paid or tendered or as to the person to whom it should be paid or tendered, the Central Government shall refer the dispute to the principal Civil Court of original jurisdiction having jurisdiction over the land in question.

(4)

The fact that there exists any such dispute as is referred to in sub-section (3) shall not be a bar to the taking of any action under sub-section (2).

(5)

After the completion of the investigation, the Geological Survey of India or the specified authority or agency by which the investigation was made shall submit to the Central Government a detailed report indicating therein the extent and nature of any mineral which lies deposited in or under the land.

(6)

The costs of the investigation made under this section shall be borne by the Central Government:

Provided that where the State Government or other person in whom the minerals are vested or the holder of any prospecting license or mining lease applies to the Central Government to furnish to it or him a copy of the report submitted under sub-section (5), that State Government or other person or the holder of a prospecting license or mining lease, as the case may be, shall bear such reasonable part of the costs of investigation as the Central Government may

specify in this behalf and shall, on payment of such part of the costs of investigation, be entitled to receive from the Central Government a true copy of the report submitted to it under sub-section (5).]

Chapter VII

Miscellaneous

19.

Mineral concession to be void if in contravention of Act.

Any [mineral concession, prospecting license or mining lease] granted, renewed or acquired in contravention of the provisions of this Act or any rules or orders made thereunder shall be void and of no effect.

Explanation. - Where a person has acquired more than one [mineral concession, prospecting license or mining lease] [Substituted by Act 38 of 1999, Section 16, for " prospecting license or mining lease" (w.e.f. 18.12.1999).]

[* * *]

[The words " in any State" omitted by Act 25 of 1994, Section 8 (w.r.e.f. 25.1.1994).]

and the aggregate area covered by such [permits, licenses or leases]

[Substituted by Act 38 of 1999, Section 16, for " licenses or leases" (w.e.f. 18.12.1999).]

, as the case may be, exceeds the maximum area permissible under section 6, only that [mineral concession, prospecting license or mining lease]

[The words " in any State" omitted by Act 25 of 1994, Section 8 (w.r.e.f. 25.1.1994).]

the acquisition of which has resulted in such maximum area being exceeded shall be deemed to be void.

20.

Act and rules to apply to all renewals of prospecting licenses and mining leases. - The provisions of this Act and the rules made thereunder shall apply in relation to the renewal after the commencement of this Act of any prospecting license or mining lease granted before such commencement as they apply in relation to the renewal of a prospecting license or mining lease granted after such commencement.

20A.

[Power of Central Government to issue directions.

[Inserted by Act No. 10 of 2015.]

(1)

Notwithstanding anything contained in this Act, the Central Government may issue such directions to the State Governments, as may be required for the conservation of mineral resources, or on any policy matter in the national interest, and for the scientific and sustainable development and exploitation of mineral resources.

(2)

In particular, and without prejudice to the generality of the foregoing powers, the Central Government may also issue directions in respect of the following matters, namely:-

(i)

improvement in procedure for grant of mineral concessions and to ensure co-ordination among agencies entrusted with according statutory clearances;

(ii)

maintenance of internet-based databases including development and operation of a mining tenement system;

(iii)

implementation and evaluation of sustainable development frameworks;

(iv)

reduction in waste generation and related waste management practices and promotion of recycling of materials;

(v)

minimising and mitigating adverse environmental impacts particularly in respect of ground water, air, ambient noise and land;

(vi)

ensuring minimal ecological disturbance, in terms of bio-diversity, flora, fauna and habitat;

(vii)

promoting restoration and reclamation activities so as to make optimal use of mined out land for the benefit of the local communities; and

(viii)

such other matters as may be necessary for the purposes of implementation of this Act.]

21.

Penalties. - [(1) Whoever contravenes the provisions of sub-section (1) or sub-section (1A) of section 4 shall be punishable with imprisonment for a term which may extend to five years and with fine which may extend to five lakh rupees per hectare of the area.

(2)

Any rule made under any provision of this Act may provide that any contravention thereof shall be punishable with imprisonment for a term which may extend to two years or with fine which may extend to five lakh rupees, or with both, and in the case of a continuing contravention, with additional fine which may extend to fifty thousand rupees for every day during which such contravention continues after conviction for the first such contravention.]

(3)

[Where any person trespasses into any land in contravention of the provisions of sub-section (1) of section 4, such trespasser may be served with an order of eviction by the State Government or any authority authorised in this behalf by that Government and the State Government or such authorised authority may, if necessary, obtain the help of the police to evict the trespasser from the land.]

[Inserted by Act 56 of 1972, Section 12 (w.e.f. 12.9.1972).]

(4)

[Whenever any person raises, transports or causes to be raised or transported, without any lawful authority, any mineral from any land, and, for that purpose, uses any tool, equipment, vehicle or any other thing, such mineral, tool, equipment, vehicle or any other thing shall be liable to be seized by an officer of authority specially empowered in this behalf.

(4A)

Any mineral, tool, equipment, vehicle or any other thing seized under sub-section (4), shall be liable to be confiscated by an order of the Court competent to take cognizance of the offense under sub-section (1) and shall be disposed of in accordance with the directions of such Court.]

[Substituted by Act 38 of 1999, Section 17, for sub-Section (4) (w.e.f. 18.12.1999).]

(5)

[Whenever any person raises, without any lawful authority, any mineral from any land, the State Government may recover from such person the mineral so raised, or where such mineral has already been disposed of, the price thereof, and may also recover from such person, rent, royalty or tax, as the case may be, for the period during which the land was occupied by such person without any lawful authority.]

[Inserted by Act 56 of 1972, Section 12 (w.e.f. 12.9.1972).]

(6)

[Notwithstanding anything contained in the Code of Criminal Procedure, 1973 (2 of 1974), an offense under sub-section (1) shall be cognizable.]

[Inserted by Act 37 of 1986, Section 16 (w.e.f. 10.2.1987).]

Explanation.?On and from the date of commencement of the Mines and Minerals (Development and Regulation)Amendment Act, 2021, the expression ?raising, transporting or causing to raise or transport any mineral without any lawful authority? occurring in this section, shall mean raising, transporting or causing to raise or transport any mineral by a person without prospecting licence, mining lease or composite licence, exploration licence or in contravention of the rules made under section 23C.?

22.

Cognizance of offenses. - No Court shall take cognizance of any offense punishable under this Act or any rules made thereunder except upon complaint in writing made by a person authorized in this behalf by the Central Government or the State Government.

23.

Offenses by companies. - (1) If the persons committing an offense under this Act or any rules made thereunder is a company, every person who at the time the offense was committed was in charge of, and was responsible to the company for the conduct of the business of the company, shall be deemed to be guilty of the offense and shall be liable to be proceeded against and punished accordingly:

Provided that nothing contained in this sub-section shall render any such person liable to any punishment, if he proves that the offense was committed without his knowledge or that he exercised all due diligence to prevent the commission

of such offense.

(2)

Notwithstanding anything contained in sub-section (1), where an offense under this Act has been committed with the consent or connivance of any director, manager, secretary or other officer of the company, such director, manager, secretary or other officer shall be deemed to be guilty of that offense and shall be liable to be proceeded against and punished accordingly.

Explanation. - For the purposes of this section,-

(a)

"company" means any body corporate and includes a firm or other association of individuals;

(b)

"director" in relation to a firm means a partner in the firm.

[23-A. Compounding of offenses.

(1)

Any offense punishable under this Act or any rule made thereunder may, either before or after the institution of the prosecution, be compounded by the person authorised under section 22 to make a complaint to the Court with respect to that offense, on payment to that person, for credit to the Government, of such sum as that person may specify:

Provided that in the case of an offense punishable with fine only, no such sum shall exceed the maximum amount of fine which may be imposed for that offense.

(2)

Where an offense is compounded under sub-section (1), no proceeding or further proceeding, as the case may be, shall be taken against the offender in respect of the offense so compounded, and the offender, if in custody, shall be released forthwith.]

23B.

Power to search. - If any Gazetted Officer of the Central or a State Government authorised by the Central Government [or a State Government, as the case may be,]

[Inserted by Act 38 of 1999, Section 18 (w.e.f. 18.12.1999).]

[in this behalf by general or special order has reason to believe that any mineral has been raised in contravention of the provisions of this Act or rules made thereunder or any document or thing in relation to such mineral is secreted in any place]

[Inserted by Act 25 of 1994, Section 9 (w.r.e.f. 25.1.1994).]

[or vehicle]

[Inserted by Act 38 of 1999, Section 18 (w.e.f. 18.12.1999).]

[, he may search for such mineral, document or thing and the provisions of section 100 of the Code of Criminal Procedure, 1973 (2 of 1974) shall apply to every such search.]

[Inserted by Act 25 of 1994, Section 9 (w.r.e.f. 25.1.1994).]

[23-C. Power of State Government to make rules for preventing illegal mining, transportation and storage of minerals.

(1)

The State Government may, by notification in the Official Gazette, make rules for preventing illegal mining, transportation and storage of minerals and for the purposes connected therewith.

(2)

In particular and without prejudice to the generality of the foregoing power, such rules may provide for all or any of the following matters, namely:-

(a)

establishment of check-posts for checking of minerals under transit;

(b)

establishment of weigh-bridges to measure the quantity of mineral being transported;

(c)

regulation of mineral being transported from the area granted under a prospecting license or a mining lease or a quarrying license or a permit, in whatever name the permission to excavate minerals, has been given;

(d)

inspection, checking and search of minerals at the place of excavation or storage or during transit;

(e)

maintenance of registers and forms for the purposes of these rules;

(f)

the period within which and the authority to which applications for revision of any order passed by any authority be preferred under any rule made under this section and the fees to be paid therefor and powers of such authority for disposing of such applications; and

(g)

any other matter which is required to be, or may be, prescribed for the purpose of prevention of illegal mining, transportation and storage of minerals.

(3)

Notwithstanding anything contained in section 30, the Central Government shall have no power to revise any order passed by a State Government or any of its authorised officers or any authority under the rules made under sub-sections (1) and (2).]

24.

Power of entry and inspection. - (1) For the purpose of ascertaining the position of the working, actual or prospective, of any mine or abandoned mine or for any other purpose connected with this Act or the rules made thereunder, any person authorised by the [Central Government or a State Government] in this behalf, by general [* * *]

[The words " or special" omitted by Act 38 of 1999, Section 20 (w.e.f. 18.12.1999).]

order, may-

(a)

enter and inspect any mine;

(b)

survey and take measurements in any such mine;

(c)

weigh, measure or take measurements of the stocks of minerals lying at any mine;

(d)

examine any document, book, register, or record in the possession or power of any person having the control of, or connected with, any mine and place marks of identification thereon, and take extracts from or make copies of such document, book, register or record;

(e)

order the production of any such document, book, register, record, as is referred to in clause (d); and

(f)

examine any person having the control of, or connected with, any mine.

(2)

Every person authorised by the [Central Government or a State Government]

[Substituted by Act 38 of 1999, Section 20, for " Central Government" (w.e.f. 18.12.1999).]

under sub-section (1) shall be deemed to be a public servant within the meaning of section 21 of the Indian Penal Code (45 of 1860), and every person to whom an order or summons is issued by virtue of the powers conferred by clause (e) or clause (f) of that sub-section shall be legally bound to comply with such order or summons, as the case may be.

24A. Rights and liabilities of a holder of mineral concession.

(1)

On the issue of a][mineral concession, prospecting license or mining lease]

[Substituted by Act 38 of 1999, Section 21, for " prospecting license or mining lease" (w.e.f. 18.12.1999).]

[under this Act and the rules made thereunder, it shall be lawful for the]

[Inserted by Act 37 of 1986, Section 17 (w.e.f. 10.2.1987).]

[holder of such permit, license or lease]

[Substituted by Act 38 of 1999, Section 21, for " holder of such license or lease" (w.e.f. 18.12.1999).]

[, his agents or his servants or workmen to enter the lands over which]

[Inserted by Act 37 of 1986, Section 17 (w.e.f. 10.2.1987).]

[such permit, lease or license had been granted]

[Substituted by Act 38 of 1999, Section 21, for " such lease or licence had been granted" (w.e.f. 18.12.1999).]

[at all times during its currency and carry out all such]

[Inserted by Act 37 of 1986, Section 17 (w.e.f. 10.2.1987).]

[reconnaissance, prospecting or mining operations]

[Substituted by Act 38 of 1999, Section 16, for " prospecting or mining operations" (w.e.f. 18.12.1999).]

[as may be prescribed:

Provided that no person shall enter into any building or upon an enclosed Court or garden attached to a dwelling-house (except with the consent of the occupier thereof) without previously giving such occupier at least seven days' notice in writing of his intention to do so.

(2)

The holder of a]

[Inserted by Act 37 of 1986, Section 17 (w.e.f. 10.2.1987).]

[mineral concession, prospecting license or mining lease]

[Substituted by Act 38 of 1999, Section 21, for " prospecting license or mining lease" (w.e.f. 18.12.1999).]

[referred to in sub-section (1) shall be liable to pay compensation in such manner as may be prescribed to the occupier of the surface of the land granted under]

[Inserted by Act 37 of 1986, Section 17 (w.e.f. 10.2.1987).]

[such permit, license or lease]

[Substituted by Act 38 of 1999, Section 21, for " such lease or licence had been granted" (w.e.f. 18.12.1999).]

[for any loss or damage which is likely to arise or has arisen from or in consequence of the]

[Inserted by Act 37 of 1986, Section 17 (w.e.f. 10.2.1987).]

[reconnaissance, mining or prospecting operations]

[Substituted by Act 38 of 1999, Section 16, for " prospecting or mining operations" (w.e.f. 18.12.1999).]

.

(3)

[The amount of compensation payable under sub-section (2) shall be determined by the State Government in the manner prescribed.]

[Inserted by Act 37 of 1986, Section 17 (w.e.f. 10.2.1987).]

25.

Recovery of certain sums as arrears of land revenue. - [(1)] Any rent, royalty, tax, fee or other sum due to the Government under this Act or the rules made thereunder or under the terms and conditions of any [mineral concession, prospecting license or mining lease]

[Substituted by Act 38 of 1999, Section 21, for " prospecting license or mining lease" (w.e.f. 18.12.1999).]

may, on a certificate of such officer as may be specified by the State Government in this behalf by general or special order, be recovered in the same manner as an arrear of land revenue.

(2)

[Any rent, royalty, tax, fee or other sum due to the Government either under this Act or any rule made thereunder or under the terms and conditions of any]

[Inserted by Act 56 of 1972, Section 14 (w.e.f. 12.9.1972).]

[mineral concession, prospecting license or mining lease]

[Substituted by Act 38 of 1999, Section 21, for " prospecting license or mining lease" (w.e.f. 18.12.1999).]

[may, on a certificate of such officer as may be specified by the State Government in this behalf by general or special order, be recovered in the same manner as if it were an arrear of land revenue and every such sum which becomes due to the Government after the commencement of the Mines and Minerals (Regulation and Development) Amendment Act, 1972, together with the interest due thereon, shall be a first charge on the assets of the holder of the]

[Inserted by Act 56 of 1972, Section 14 (w.e.f. 12.9.1972).]

[mineral concession, prospecting license or mining lease]

[Substituted by Act 38 of 1999, Section 21, for " prospecting license or mining lease" (w.e.f. 18.12.1999).]

[, as the case may be.]

[Inserted by Act 56 of 1972, Section 14 (w.e.f. 12.9.1972).]

26.

Delegation of powers. - (1) The Central Government may, by notification in the Official Gazette, direct that any power

exercisable by it under this Act may, in relation to such matters and subject to such conditions, if any, as may be specified in the notification be exercisable also by-

(a)

such officer or authority subordinate to the Central Government; or

(b)

such State Government or such officer or authority subordinate to a State Government;

as may be specified in the notification.

(2)

The State Government may, by notification in the Official Gazette, direct that any power exercisable by it under this Act may, in relation to such matters and subject to such conditions, if any, as may be specified in the notification, be exercisable also by such officer or authority subordinate to the State Government as may be specified in the notification.

(3)

Any rules made by the Central Government under this Act may confer powers and impose duties or authorise the conferring of powers and imposition of duties upon any State Government or any officer or authority subordinate thereto.

27.

Protection of action taken in good faith. - No suit, prosecution or other legal proceeding shall lie against any person for anything which is in good faith done or intended to be done under this Act.

28.

Rules and notifications to be laid before Parliament and certain rules to be approved by Parliament. - [(1) Every rule and every notification made by the Central Government under this Act shall be laid, as soon as may be after it is made, before each House of Parliament while it is in session for a total period of thirty days which may be comprised in one session or in two or more successive sessions, and if, before the expiry of the session immediately following the session or the successive sessions aforesaid, both Houses agree in making any modification in the rule or notification or both Houses agree that the rule or notification should not be made, the rule or notification shall thereafter have effect only in such modified form or be of no effect, as the case may be; so, however, that any such modification or annulment shall be without prejudice to the validity of anything previously done under that rule or notification.]

(2)

Without prejudice to the generality of the rule-making power vested in the Central Government, no rules made with reference to clause (c) of sub-section (2) of section 16 shall come into force until they have been approved, whether with or without modifications, by each House of Parliament.

(3)

[Every rule and every notification made by the State Government under this Act shall be laid, as soon as may be after it is made, before each House of the State Legislature where it consists of two Houses, or where such Legislature consists of one House, before that House.]

[Inserted by Act 25 of 1994, Section 10 (w.r.e.f. 25.1.1994).]

29.

Existing rules to continue. - All rules made or purporting to have been made under the Mines and Minerals (Regulation and Development) Act, 1948, shall, insofar as they relate to matters for which provision is made in this Act and are not inconsistent therewith, be deemed to have been made under this Act as if this Act had been in force on the date on which such rules were made and shall continue in force unless and until they are superseded by any rules made under this Act.

30.

[Power of revision by Central Government.

[Substituted by Act No. 10 of 2015.]

- The Central Government may, of its own motion or on an application made within the prescribed time by an aggrieved party, -

(a)

revise any order made by a State Government or other authority in exercise of the powers conferred on it by or under this Act with respect to any mineral other than a minor mineral; or

(b)

where no such order has been made by the State Government or other authority in exercise of the powers conferred on

it by or under this Act with respect to any mineral other than a minor mineral within the time prescribed therefor, pass such order as it may think fit and appropriate in the circumstances:

Provided that in cases covered by clause (b) the Central Government shall, before passing any order under this clause, give an opportunity of being heard or to represent in the matter.]

[30-A. Special provisions relating to mining leases for coal granted before 25th October, 1949

.-Notwithstanding anything contained in this Act, the provisions of sub-section (1) of section 9 and of sub-section (1) of section 16 shall not apply to or in relation to mining leases granted before the 25th day of October, 1949, in respect of coal, but the Central Government, if it is satisfied that it is expedient so to do, may, by notification in the Official Gazette, direct that all or any of the said provisions (including any rules made under sections 13 and 18) shall apply to or in relation to such leases subject to such exceptions and modifications, if any, as may be specified in that or in any subsequent notification.]

30B.

[Constitution of Special Courts.

[Inserted by Act No. 10 of 2015.]

(1)

The State Government may, for the purposes of providing speedy trial of offenses for contravention of the provisions of sub-section (1) or sub-section (1A) of section 4, constitute, by notification, as many Special Courts as may be necessary for such area or areas, as may be specified in the notification.

(2)

A Special Court shall consist of a Judge who shall be appointed by the State Government with the concurrence of the High Court.

(3)

A person shall not be qualified for appointment as a judge of a Special Court unless he is or has been a District and Sessions Judge.

(4)

Any person aggrieved by the order of the Special Court may prefer an appeal to the High Court within a period of sixty days from the date of such order.

30C.

Special Courts to have powers of Court of Session.

- Save as otherwise provided in this Act, the Code of Criminal Procedure, 1973, shall apply to the proceedings before the Special Court and for the purpose of the provisions of this Act, the Special Court shall be deemed to be a Court of Session and shall have all powers of a Court of Session and the person conducting a prosecution before the Special Court shall be deemed to be a public prosecutor.]

31.

Relaxation of rules in special cases. - The Central Government may, if it is of opinion that in the interests of mineral development it is necessary so to do, by order in writing and for reasons to be recorded, authorise in any case the grant, renewal or transfer of any [mineral concession, prospecting license or mining lease], or the working of any mine for the purpose of searching for or winning any mineral, on terms and conditions different from those laid down in the rules made under section 13.

32.

Amendments to Act 53 of 1948.-[Repealed by the Repealing and Amending Act, 1960 (58 of 1960), section 2 and Schedule I (w.e.f.26-12-1960).]

33.

Validation of certain acts and indemnity. - All acts of executive authority done, proceedings taken and sentences passed under the Mines and Minerals (Regulation and Development) Act, 1948, with respect to the regulation of mines and the development of minerals during the period commencing on the 26th day of January, 1950, and ending with the date of commencement of this Act by the Government or by any officer of the Government or by any other authority, in the belief or purported belief that the acts, proceedings or sentences were being done, taken or passed under the said Act, shall be as valid and operative as if they had been done, taken or passed in accordance with law, and no suit or other legal proceeding shall be maintained or continued against any person whatsoever, on the ground that any such acts, proceedings or sentences were not done, taken or passed in accordance with law.

[THE FIRST SCHEDULE]

[See sections 4(3), 5(1), 7(2) and [8(1), 8A(1), 10A, 10B(1), 10C(1), 11(1), 11B, 11C, 12A(1), and 17A(2A)]

[Substituted for the figures and brackets '8(2)' by Act No. 10 of 2015.]

]

SPECIFIED MINERALS

Part A

HYDRO CARBONS/ENERGY MINERALS

1. Coal and Lignite.

Part B

ATOMIC MINERALS

1. Beryl and other beryllium-bearing minerals.

2. Lithium-bearing minerals.

3. Minerals of the "rare earths" group containing Uranium and Thorium.

4. Niobium-bearing minerals.

5. Phosphorites and other phosphatic ores containing Uranium.

6. Pitchblende and other Uranium ores.

7. [Titanium bearing minerals and ores (ilmenite, rutile and leucoxene)].

[Substituted by Act 38 of 1999, Section 24, for items 7 and 11 (w.e.f. 18-12-1999).]

8. Tantalum-bearing minerals.

9. Uraniferous allanite, monazite and other thorium minerals.

10. Uranium bearing tailings left over from ores after extraction of copper and gold, ilmenite and other titanium ores.

11. [Zirconium bearing minerals and ores including Zircon].

[Substituted by Act 38 of 1999, Section 24 for items 7 and 11 (w.e.f. 18-12-1999).]

Part C

METALLIC AND NON-METALLIC MINERALS

1. Asbestos.

2. Bauxite.

3. Chrome ore.

4. Copper ore.

5. Gold.

6. Iron ore.

7. Lead.

8. [***]

[Item 8 omitted by Act 38 of 1999, Section 24 (w.e.f. 18-12-1999).]

9. Manganese ore.

10. Precious stones.

11. Zinc.

[Second Schedule]

[Substituted by Notification No. G.S.R. 621 (E), dated 2.9.2019.]

(See section 9)

Rates of Royalty In Respect of Minerals

Sl. No.

Name of mineral with grade

In Rs. per tonne (where applicable for auctioned mines)

Advalorem in percentage of average sale price except where otherwise stated (for auctioned mines)

In Rs. per tonne (where applicable for mines allotted without auction)

Advalorem in percentage of average sale price

except where otherwise stated (for mines allotted without auction)

(1)

(2)

(3)

(4)

(5)

(6)

1

Apatite and Rock

Phosphate

(i) Apatite

(ii) Rock Phosphate

(a) Above 25% P₂O₅

(b) Upto 25% P₂O₅

4.5%

11.5%

5.5%

5%

12.5%

6%

2

Asbestos

(a) Chrysotile

(b) Amphibole

Rs. 786/- per tonne

13.5%

Rs. 880/- per tonne

15%

3

Bauxite

(i) Bauxite

dispatched for use in alumina and aluminium metal extraction

(ii) Bauxite dispatched for use other than

alumina and aluminium metal extraction

0.54% of London Metal

Exchange Aluminium metal price chargeable on the contained

aluminium metal in ore

22.5%

0.60% of London Metal

Exchange Aluminium metal price chargeable on the contained

aluminium metal in ore

25%

4

Brown Ilmenite (Leucoxene) Ilmenite, Rutile and

Zircon

2.0%

2.0%

5

Cadmium

13.5%

15%

6

Chromite

13.5%

15%

7

Columbite-tantalite

9.0%

10%

8

Copper

4.13% of London Metal Exchange Copper metal

price chargeable on the contained copper metal in ore produced

4.62% of London Metal Exchange Copper metal

price chargeable on the contained copper metal in ore produced

9

Diamond

(a) Gem variety

(b) Industrial Variety

10.5% of Average sale

price on ad valorem basis

10.5% of the average sale price on ad valorem

basis

11.5% of Average sale

price on ad valorem basis

11.5% of the average sale price on ad valorem

basis

10

Fluorspar (also called fluorite)

7.5%

8%

11

Garnet

(a) Abrasive

(b) Gem

4%

9.0%

4%

10%

12

Gold

(a) Primary

(b) By-product gold

3.58 % of London

Bullion Market Association Price (commonly referred to as London Price) chargeable on the gold metal in ore produced.

2.95% of London Bullion Market Association Price

(commonly referred to as London Price) chargeable on the by-product gold metal actually produced

4% of London Bullion

Market Association Price (commonly referred to as London Price)

chargeable on the gold metal in ore produced.

3.3% of London Bullion Market Association Price

(commonly referred to as London Price) chargeable on the byproduct gold metal actually produced.

13

Graphite

(a) With 80% or more

fixed carbon

(b) With 40% or more

fixed carbon but less than 80% fixed carbon

(c) With 20% or more

fixed carbon but less than 40% fixed carbon

(d) With less than 20% fixed carbon

Rs. 201/- per tonne

Rs. 134/- per tonne

Rs. 59/- per tonne

Rs. 23/- per tonne

Rs. 225/- per tonne

Rs. 150/- per tonne

Rs. 65/- per tonne

Rs. 25/- per tonne

14

Iron Ore

(a) Hematite Ore-45%

Fe (Min.)

(b) Hematite

Siliceous Ore- 35% Fe (Min.)

(c) Magnetite Ore ?

15% Fe (Min.)

(d) Concentrate prepared by beneficiation and /or concentration of low grade ore containing 40% Fe or less

13.5%

9 %

9 %

3%

15%

9 %

9%

3%

15

Kyanite

11%

12%

16

Lead:

(a) Contained lead

metal in ore produced

(b) Contained lead metal in concentrate produced

7.59% of London Metal

Exchange Lead metal price chargeable on the contained lead metal in ore produced

12.95% of London Metal Exchange Lead metal price
chargeable on the contained lead metal in ore produced
8.5% of London Metal
Exchange Lead metal price chargeable on the contained lead metal
in ore produced

14.5% of London Metal Exchange Lead metal price
chargeable on the contained lead metal in ore produced

17

Limestone

(a) L.D. Grade (less
than 1.5 percent silica content)

(b) Others

Rs. 81/- per tonne

Rs.72/- per tonne

Rs. 90/- per tonne

Rs.80/- per tonne

18

Limeshell

Rs. 72/- per tonne

Rs. 80/- per tonne

19

Magnesite

3%

3%

20

Manganese Ore

(a) Ore of all grade

(b) Concentrates

4.5%

1.55%

5.0%

1.7%

21

Marl

Rs. 54/- per tonne

Rs. 60/- per tonne

22

Monazite

Rs. 112/- per tonne

Rs. 125/- per tonne

23

Nickel

0.11 % of London Metal Exchange Nickel metal
price chargeable on the contained nickel metal in ore produced

0.12 % of London Metal Exchange Nickel metal
price chargeable on the contained nickel metal in ore produced

24

Perlite

11 %

12%

25

Pyrites

2%

2%

26

Ruby

9%

10%

27

Selenite

11%

12%

28

Sillimanite

2.5%

2.5%

29

Silver:

(a) By-product

(b) Primary Silver

6.5% of London Metal

Exchange price chargeable on by-product silver metal actually produced.

4.5% of London Metal Exchange Silver metal

price chargeable on the contained silver metal in ore produced.

7% of London Metal

Exchange price chargeable on byproduct silver metal actually produced.

5.0% of London Metal Exchange Silver metal price

chargeable on the contained silver metal in ore produced

30

Tin

6.7% of London Metal Exchange Tin metal price

chargeable on the contained tin metal in ore produced

7.5% of London Metal Exchange Tin metal price

chargeable on the contained tin metal in ore produced

31

Tungsten

Rs.18/- per unit percent of contained WO₃ per tonne of ore and on pro rata basis.

Rs.20/- per unit percent of contained WO₃ per tonne of ore and on pro rata basis.

32

Uranium

1.8% of annual compensation amount received by

M/s. Uranium Corporation of India Limited, to be apportioned among the States on the basis of data provided by the Department of Atomic Energy

2.0% of annual compensation amount received by

M/s. Uranium Corporation of India Limited, to be apportioned among the States on the basis of data provided by the Department of Atomic

33

Vanadium

18%

20%

34

Vermiculite

4.5%

5%

35

Wollastonite

13.5%

15%

36

Zinc

8.49% of London Metal

Exchange Zinc metal price on ad valorem basis chargeable on
contained zinc metal in ore produced

8.93 % of London Metal Exchange Zinc metal price

on ad valorem basis chargeable on contained zinc metal in
concentrate produced

9.5% of London Metal

Exchange Zinc metal price on ad valorem basis chargeable on
contained zinc metal in ore produced

10% of London Metal Exchange Zinc metal price on

ad valorem basis chargeable on contained zinc metal in
concentrate produced

37

All other minerals not herein before specified

11% of the sale price on ad valorem basis

12% of the sale price on ad valorem basis

38

Coal including lignite

*

*

*

*

39

Sand for stowing

**

**

**

**

1. *Rates of royalty in respect of item at Sl. No. 38 relating to coal including lignite as revised vide notification number G.S.R. 349(E), dated the 10th May, 2012 read with vide corrigendum number G.S.R. 525(E), dated the 14th June, 2012 of the Government of India in the Ministry of Coal shall remain in force until revised through a separate notification by the Ministry of Coal.

2. **Rates of royalty in respect of item at Sl. No.39 relating to Sand for stowing revised vide notification number G.S.R. 214(E), dated the 11th April, 1997, shall remain in force until revised through a separate notification by the Ministry of Coal.

[Third Schedule]

[Substituted by Notification No. G.S.R. 622 (E), dated 2.9.2019.]

(See section 9A)

Rate of Dead Rent

Concept of charging of dead rent shall not be applicable in cases of mines which are granted through auction mechanism. The following rates and structure for dead rent shall be applicable for the mines which are granted other than auction route, namely:-

1. Low value minerals:

(In Rs. Per Hectare Per Annum)

From 4th Year of Lease

5th and 6th Year of Lease

7th Year of lease

400

1000

2000

2. Two times the rate specified in paragraph 1 above in case of medium value minerals.

3. Three times the rate specified in paragraph 1 above in case of lease granted for high value minerals.

4. Four times the rate specified in paragraph 1 above in case of lease granted for precious metals and stone.

Note. - For the purpose of this notification: -

(a)

"precious metals and stones" means gold, silver, diamond, ruby, sapphire and emerald;

(b)

"high value minerals" means semi-precious stones (agate, gem garnet), corundum, copper, lead, zinc, and asbestos (chrysotile variety);

(c)

"medium value minerals" means chromite, manganese ore, kyanite, sillimanite, vermiculite, magnesite, wollastonite, perlite, diaspore, apatite, rock phosphate, fluorite (fluorspar), barytes, and iron ore;

(d)

"low value minerals" means the minerals other than precious metals and stones, high value minerals and medium value minerals

[The Fourth Schedule]

[Inserted by Act No. 10 of 2015.]

[See clause (ea) of section 3]

Notified Minerals

1. Bauxite.

2. Iron ore.

3. Limestone.

4. Manganese ore.

[THE FIFTH SCHEDULE]

[See sections 8(4), 8A(8) and 17A(2C)]

S.No.

Mineral

Additional amount on grant or extension of mining lease

1.

Iron ore and chromite

Equivalent to one hundred and fifty per cent. of the royalty payable

2.

Copper

Equivalent to fifty per cent. of the royalty payable

3.

Coal and lignite

Equivalent to the royalty payable

4.

Other minerals (other
than coal and lignite)

Equivalent to the royalty payable

Explanation.—For the purposes of this Schedule, the additional amount shall be in addition to royalty or payment to the District Mineral Foundation and National Mineral Exploration Trust or any other statutory payment.

THE SIXTH SCHEDULE

[See sections 8(5) and 8A(7A)]

(i)

For non-auctioned captive mines (other than coal and lignite):

S.No.

Mineral

Additional Amount

1.

Bauxite

(i) Metallurgical Grade

(ii) Non-Metallurgical Grade

Equivalent to one hundred and fifty per cent. of the royalty payable

Equivalent to the royalty payable

2.

Chromite

(i) Up to forty per cent. of Cr₂O₃

(ii) forty per cent. and more of the Cr₂O₃ and concentrates

Equivalent to the royalty payable

Equivalent to two hundred per cent royalty payable

3.

Iron ore

(i) Lumps, ROM and concentrates

(ii) Fines

Equivalent to two hundred and fifty per cent. of the royalty payable

Equivalent to one hundred and fifty per cent. of the royalty payable

4.

Limestone

(i) L.D. Grade (less than 1.5 per cent.

(ii) Other grades

Equivalent to two hundred per cent. of the
silica content) royalty payable

Equivalent to the royalty payable

5.

Manganese

(i) Less than thirty-five per cent.

(ii) Thirty-five per cent. and above of manganese content

Equivalent to the royalty payable of manganese content

Equivalent to five hundred per cent. of the royalty payable

6.

Other minerals

Equivalent to the royalty payable

(ii) For auctioned captive mines (other than coal and lignite):

S.No.

Quantity of sale

Additional Amount

1.

Sale of mineral up to twenty-five per cent. of annual production

Nil

2.

Sale of mineral more than twenty-five per cent. and up to fifty per cent. of annual production

Equivalent to fifty per cent. of the royalty payable

(iii) For coal and lignite:

S.No.

Type of mine

Additional Amount

(i) Captive coal and lignite mines, auctioned for power sector through reverse bidding under the Coal Mines (Special Provisions) Act, 2015 (11 of 2015)

(ii) Captive coal and lignite mines allocated through allotment route

[other than mines covered under item no. (iv)]

(iii) Captive coal and lignite mines allocated through auction route

[other than mines covered under item nos. (i) and (iv)]

(iv) For captive coal and lignite

mines that were auctioned and

allotted with condition allowing

sale of coal up to twenty-five

per cent. of annual production?

(a) for sale of coal up to twenty per cent. of annual production

(b) for sale of coal more than twenty-five per cent. and up to fifty per cent. of annual production

Equivalent to two hundred per cent. of the royalty payable

Equivalent to the royalty payable

Equivalent to the royalty payable

Additional amount payable as per the condition mentioned in the tender document or allotment document

Fifty per cent. of the royalty payable

Explanation.?For the purposes of this Schedule, it is hereby clarified that?

(i)

the additional amount shall be in addition to royalty or payment to the District Mineral Foundation and National Mineral Exploration Trust or any other statutory payment or payment specified in the tender document or the auction premium (wherever applicable)

(ii)

Ad valorem royalty for the purpose of calculating the additional amount for coal and lignite shall be based on National Coal Index and Representative Price of coal excluding the taxes, levies and other charges.?

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